✗ D. Misclassification has no consequences.: it does

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q1 · question page 2527

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What does withholding mean for an employer?

Answer: B. Taking taxes out of pay and sending them to the agency

Withhold and remit.

✗ A. Holding back the employee's whole paycheck as a penalty: not this
✗ C. Keeping the employee's tools: not this
✗ D. Refusing to pay overtime: not this

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-M-Q2 · question page 2528

ENT.HELP.03 · Describe an employer's payroll duties in general terms

Which is an employer duty?

Answer: C. Following minimum wage and overtime rules

Wage rules.

✗ A. Paying the employee's personal rent: no
✗ B. Filing the employee's personal return: no
✗ D. Choosing the employee's lunch: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q3 · question page 2529

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What does the employer give employees at year end?

Answer: D. Tax forms showing pay and withholding

Year-end forms.

- ✗ A. A refund of all taxes: no
- ✗ B. A new employment contract every single year: no
- ✗ C. A list of customers: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q4 · question page 2530

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What may many states require of employers?

Answer: B. Registration and workers' compensation insurance

State duties.

- ✗ A. Nothing at all: not true
- ✗ C. A new LLC formed for each employee hired: no
- ✗ D. A trademark filing: unrelated

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-M-Q5 · question page 2531

ENT.HELP.03 · Describe an employer's payroll duties in general terms

What do many small businesses use for payroll?

Answer: A. A payroll service or an accountant

Help with payroll.

- ✗ B. Guesswork each pay period: risky
- ✗ C. Nothing; payroll is optional: not optional
- ✗ D. The employee to calculate her own taxes: not their job

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-B1-Q1 · question page 2532

ENT.HELP.03 · A collection box at the counter

The charity money belongs to whom?

Answer: D. The charity

Held for others.

- ✗ A. The store owner: no
- ✗ B. The customer forever: no
- ✗ C. The cashier: only holds it

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q2 · question page 2533

ENT.HELP.03 · A collection box at the counter

Withheld payroll taxes are like what?

Answer: C. The charity money in the box

Held in trust.

- ✗ A. The employer's profit: no
- ✗ B. A gift from the employee: no
- ✗ D. A bonus for the employer: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q3 · question page 2534

ENT.HELP.03 · A collection box at the counter

When must the charity money be sent?

Answer: B. On schedule

Deadlines apply.

- ✗ A. Never: no
- ✗ C. Whenever convenient: no

✗ D. After ten years: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q4 · question page 2535

ENT.HELP.03 · A collection box at the counter

Spending withheld taxes on rent is like what?

Answer: A. Spending the charity's money

Misusing held funds.

✗ B. Paying a fair bill on time: no
✗ C. Saving money: no
✗ D. A tax refund: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-B1-Q5 · question page 2536

ENT.HELP.03 · A collection box at the counter

What is the cashier's role?

Answer: C. Collect and pass on the money

A pass-through.

✗ A. Hide the money: no
✗ B. Spend the money: no
✗ D. Keep the money for yourself: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F1-Q1 · question page 2537

ENT.HELP.03 · Apply it: prepare for a first employee

An owner hires her first employee. Which step should come first?

Answer: B. Learn the federal and state employer requirements

Prepare first.

- ✗ A. Pay cash with no records: non-compliant
- ✗ C. Wait until year end to think about taxes: too late
- ✗ D. Call the employee a contractor to skip payroll entirely: misclassification risk

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F1-Q2 · question page 2538

ENT.HELP.03 · Apply it: prepare for a first employee

An employee earns 18 dollars an hour for 20 hours a week. What is weekly gross pay?

Answer: A. 360 dollars

18 x 20 = 360.

- ✗ B. 38 dollars: added
- ✗ C. 180 dollars: 10 hours
- ✗ D. 900 dollars: miscalculated

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F1-Q3 · question page 2539

ENT.HELP.03 · Apply it: prepare for a first employee

A payroll service costs 45 dollars a month. What is the yearly cost?

Answer: B. 540 dollars

45 x 12 = 540.

- ✗ A. 450 dollars: 10 months
- ✗ C. 585 dollars: 13 months
- ✗ D. 45 dollars: one month

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F1-Q4 · question page 2540

ENT.HELP.03 · Apply it: prepare for a first employee

An owner withheld taxes but used the money for supplies. What problem does she face?

Answer: A. She still owes those taxes to the agency

Held funds must be sent.

- ✗ B. The taxes are cancelled: no
- ✗ C. None, because withheld money is hers to spend: not hers
- ✗ D. The employee owes them now: no

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-F1-Q5 · question page 2541

ENT.HELP.03 · Apply it: prepare for a first employee

Which detail varies by place and should be checked?

Answer: C. Minimum wage and state payroll requirements

Rules vary.

- ✗ A. Whether employees need to be paid at all: always
- ✗ B. Whether records matter: they do
- ✗ D. Whether taxes exist: they do

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F2-Q1 · question page 2542

ENT.HELP.03 · Handle the complications: mistakes and overtime

A payroll deposit was missed. What is a sensible step?

Answer: D. Make it right away and check penalties or ask a professional

Act promptly.

✗ A. Ignore it until someone from the tax agency notices it: worse

✗ B. Ask the employee to pay: improper

✗ C. Skip the next one too: worse

Arithmetic checked by code: not applicable. Sources: dol_contractor

---

S121-F2-Q2 · question page 2543

ENT.HELP.03 · Handle the complications: mistakes and overtime

An employee works 45 hours in a week where overtime applies after 40. How many overtime hours?

Answer: C. 5

45 - 40 = 5.

✗ A. 45: total

✗ B. 85: added

✗ D. 40: regular

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F2-Q3 · question page 2544

ENT.HELP.03 · Handle the complications: mistakes and overtime

An employee works 5 overtime hours, and overtime pays 1.5 times a 20-dollar rate. What is the overtime pay for those hours?

Answer: A. 150 dollars

5 x 30 = 150.

✗ B. 100 dollars: regular rate

✗ C. 30 dollars: one hour

✗ D. 900 dollars: all hours

Arithmetic checked by code: yes. Sources: dol_contractor

S121-F2-Q4 · question page 2545

ENT.HELP.03 · Handle the complications: mistakes and overtime

An owner thinks payroll is too complex to handle alone. What is reasonable?

Answer: B. Use a payroll service or accountant

Get help.

- ✗ A. Avoid payroll by paying cash secretly: non-compliant
- ✗ C. Guess each period: risky
- ✗ D. Stop paying the employee: unlawful

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S121-F2-Q5 · question page 2546

ENT.HELP.03 · Handle the complications: mistakes and overtime

Which statement is accurate?

Answer: C. Employers must withhold, pay and report on schedule.

Payroll duties.

- ✗ A. Withheld taxes belong to the employer.: not true
- ✗ B. Employers have no reporting duties.: they do
- ✗ D. Payroll rules are identical in every state and city.: they vary

Arithmetic checked by code: not applicable. Sources: dol_contractor

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S122-M-Q1 · question page 2548

ENT.HELP.04 · Use simple checklists to start and end work with helpers

What is onboarding?

Answer: A. Setting up a new helper to succeed

Start well.

- ✗ B. Removing a helper's access: offboarding
- ✗ C. Loading boxes onto a delivery truck: pun

✗ D. Filing an annual report: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q2 · question page 2549

ENT.HELP.04 · Use simple checklists to start and end work with helpers

Which belongs in onboarding?

Answer: D. Their own logins with limited access

Safe access.

✗ A. The owner's bank password: no
✗ B. Full access to every business account: excess
✗ C. No training at all: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q3 · question page 2550

ENT.HELP.04 · Use simple checklists to start and end work with helpers

When should a departing helper's access be removed?

Answer: B. The same day

Promptly.

✗ A. Only if they ask: risk
✗ C. Never: risk
✗ D. Next month: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q4 · question page 2551

ENT.HELP.04 · Use simple checklists to start and end work with helpers

Which belongs in offboarding?

Answer: B. Collecting keys and transferring their files

Close properly.

- ✗ A. Hiring their replacement before anything else: not required
- ✗ C. Giving them more access: opposite
- ✗ D. Deleting all customer records: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-M-Q5 · question page 2552

ENT.HELP.04 · Use simple checklists to start and end work with helpers

What makes both processes easier?

Answer: C. A simple checklist

Checklists.

- ✗ A. Guesswork: unreliable
- ✗ B. Skipping steps: risky
- ✗ D. Memory alone, with no notes: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q1 · question page 2553

ENT.HELP.04 · Moving into and out of an apartment

Getting keys when moving in is like what?

Answer: B. Giving a new helper logins

Onboarding access.

- ✗ A. A complaint: no
- ✗ C. Removing all their access: no
- ✗ D. Final pay: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q2 · question page 2554

ENT.HELP.04 · Moving into and out of an apartment

Returning keys when moving out is like what?

Answer: D. Removing a helper's access

Offboarding access.

- ✗ A. A promotion to manager: no
- ✗ B. Training: no
- ✗ C. Hiring: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q3 · question page 2555

ENT.HELP.04 · Moving into and out of an apartment

Learning where things are is like what?

Answer: C. Training

Orientation.

- ✗ A. Advertising: no
- ✗ B. Paying taxes: no
- ✗ D. Firing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q4 · question page 2556

ENT.HELP.04 · Moving into and out of an apartment

Leaving a forwarding address is like what?

Answer: A. Passing on their work and contacts

Handover.

- ✗ B. Deleting everything: no
- ✗ C. Taking the customers with them: no

✗ D. Keeping secrets: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-B1-Q5 · question page 2557

ENT.HELP.04 · Moving into and out of an apartment

How many main stages are in the picture?

Answer: A. Two: moving in and moving out

Start and end.

✗ B. One: moving in, and nothing else: no
✗ C. Zero: no
✗ D. Ten: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q1 · question page 2558

ENT.HELP.04 · Apply it: run the checklists

A new helper starts Monday. Which item is most urgent to prepare?

Answer: A. A login with only the access her role needs

Safe access.

✗ B. Nothing until she asks: unprepared
✗ C. Full admin rights to every account: excess
✗ D. A copy of the owner's personal tax return: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q2 · question page 2559

ENT.HELP.04 · Apply it: run the checklists

An onboarding checklist has 10 items and 7 are done. How many remain?

Answer: C. 3

10 - 7 = 3.

- ✗ A. 17: added
- ✗ B. 7: done
- ✗ D. 10: total

Arithmetic checked by code: yes. Sources: none (stable)

S122-F1-Q3 · question page 2560

ENT.HELP.04 · Apply it: run the checklists

A helper leaves and was handling 12 customer conversations. What should happen?

Answer: B. Transfer them to someone else with notes

Handover.

- ✗ A. Let the departing helper keep them: risk
- ✗ C. Let them go unanswered: harms customers
- ✗ D. Delete them: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q4 · question page 2561

ENT.HELP.04 · Apply it: run the checklists

A helper still has a shop key after leaving. What should the owner do?

Answer: A. Collect it, or change the lock if it cannot be returned

Secure access.

- ✗ B. Give them another key: worse
- ✗ C. Post about it online and wait for the key to come back: unhelpful
- ✗ D. Ignore it: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F1-Q5 · question page 2562

ENT.HELP.04 · Apply it: run the checklists

Which onboarding item helps a helper know who to ask?

Answer: D. A named contact for questions

Support.

- ✗ A. A blank page: no
- ✗ B. A secret password: no
- ✗ C. A competitor's phone number: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q1 · question page 2563

ENT.HELP.04 · Handle the complications: sudden departures and gaps

A helper quits suddenly by text. What is the first step?

Answer: B. Remove access immediately

Secure first.

- ✗ A. Give them more access to finish: risk
- ✗ C. Ignore it: risk
- ✗ D. Wait a week to see if they return: risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q2 · question page 2564

ENT.HELP.04 · Handle the complications: sudden departures and gaps

After a departure, customers report unanswered emails. What would have prevented this?

Answer: D. Transferring conversations as part of offboarding

Handover step.

- ✗ A. Hiring nobody ever: too far
- ✗ B. Changing the logo: irrelevant

✗ C. Deleting the helper's email account entirely: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q3 · question page 2565

ENT.HELP.04 · Handle the complications: sudden departures and gaps

Final pay rules vary by state. What should the owner do?

Answer: C. Check the state's rules for final pay timing

Follow rules.

✗ A. Ask the helper to wait indefinitely: improper
✗ B. Pay the final wages whenever convenient: may violate
✗ D. Skip final pay: unlawful

Arithmetic checked by code: not applicable. Sources: none (stable)

S122-F2-Q4 · question page 2566

ENT.HELP.04 · Handle the complications: sudden departures and gaps

A new helper was given no training and made errors on 6 of 30 orders. What percent had errors?

Answer: A. 20 percent

6 / 30 = 0.2.

✗ B. 30 percent: total
✗ C. 5 percent: misdivided
✗ D. 6 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S122-F2-Q5 · question page 2567

ENT.HELP.04 · Handle the complications: sudden departures and gaps

Which statement is accurate?

Answer: B. Simple checklists make starting and ending work safer.

Checklists help.

- ✗ A. Everyone should get full access on their first day.: excess
- ✗ C. Offboarding can wait months.: risk
- ✗ D. Training is never needed.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q1 · question page 2569

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

Which topic should partners agree on in writing?

Answer: C. How ties are broken

Decision rules.

- ✗ A. Which music plays in the office: irrelevant
- ✗ B. Their favorite lunch spots: irrelevant
- ✗ D. The color of business cards: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q2 · question page 2570

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

Why put a partnership agreement in writing?

Answer: D. To reduce later disagreements

Clarity.

- ✗ A. Because friends never disagree: not true
- ✗ B. Because writing makes profits higher: not directly
- ✗ C. To avoid ever talking: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q3 · question page 2571

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

What should partners discuss openly?

Answer: A. Goals, risk tolerance and money

Align expectations.

- ✗ B. Nothing important: risky
- ✗ C. Only who sits where in the office: minor
- ✗ D. Only the logo: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q4 · question page 2572

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

Is friendship a substitute for a written agreement?

Answer: B. No

Write it down.

- ✗ A. Only for family: no
- ✗ C. Yes, always: not true
- ✗ D. Only for small businesses: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-M-Q5 · question page 2573

ENT.HELP.05 · Agree on partner roles, ownership and disagreements before starting

What should the agreement say about someone leaving?

Answer: A. What happens to their share and duties

Exit plan.

- ✗ B. Nothing; leaving never happens: it can
- ✗ C. That they must stay forever: unrealistic

✗ D. That the business closes automatically: not required

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q1 · question page 2574

ENT.HELP.05 · Planning a road trip with a friend

Who drives when is like what?

Answer: C. Each partner's role

Roles.

✗ A. The profit split: no
✗ B. Exit rule: no
✗ D. Logo: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q2 · question page 2575

ENT.HELP.05 · Planning a road trip with a friend

How gas money is split is like what?

Answer: D. How money and profits are shared

Money terms.

✗ A. Who drives: no
✗ B. The music choice in the car: no
✗ C. Exit rules: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q3 · question page 2576

ENT.HELP.05 · Planning a road trip with a friend

One friend wanting to stop early is like what?

Answer: B. A partner wanting to leave

Exit.

- ✗ A. A tax bill: no
- ✗ C. A new customer arriving: no
- ✗ D. A supplier: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q4 · question page 2577

ENT.HELP.05 · Planning a road trip with a friend

What happens without the planning talk?

Answer: A. Small annoyances can grow into big fights

Unspoken expectations.

- ✗ B. The trip gets shorter: no
- ✗ C. Gas becomes free: no
- ✗ D. Everything goes smoothly anyway, always: unlikely

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-B1-Q5 · question page 2578

ENT.HELP.05 · Planning a road trip with a friend

Why does planning matter more for a business?

Answer: D. It lasts longer with more money at stake

Higher stakes.

- ✗ A. It is shorter: no
- ✗ B. Money never matters: no
- ✗ C. Friends never disagree about money: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F1-Q1 · question page 2579

ENT.HELP.05 · Apply it: set up a two-partner business

Partner A puts in 6,000 dollars and Partner B puts in 4,000 dollars. If ownership follows money, what is A's share?

Answer: C. 60 percent

6,000 / 10,000 = 0.6.

- ✗ A. 6 percent: not converted
- ✗ B. 50 percent: equal
- ✗ D. 40 percent: B

Arithmetic checked by code: yes. Sources: none (stable)

S123-F1-Q2 · question page 2580

ENT.HELP.05 · Apply it: set up a two-partner business

B works full time and A works 5 hours a week, but ownership follows money only. What should they discuss?

Answer: A. Whether pay for work should be separate from ownership

Work versus capital.

- ✗ B. Only the logo: irrelevant
- ✗ C. Nothing, because the split is obviously fair already: may not be
- ✗ D. Only the office décor: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F1-Q3 · question page 2581

ENT.HELP.05 · Apply it: set up a two-partner business

Two equal partners disagree on a key hire. Their agreement names a trusted mentor to break ties. What should they do?

Answer: C. Ask the mentor, as agreed

Follow the agreement.

✗ A. Let the louder partner decide: unfair

✗ B. Stop talking to each other: harmful

✗ D. Close the business: too far

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F1-Q4 · question page 2582

ENT.HELP.05 · Apply it: set up a two-partner business

Profit is 18,000 dollars, split 60/40. How much goes to the 40-percent partner?

Answer: B. 7,200 dollars

0.4 x 18,000 = 7,200.

✗ A. 9,000 dollars: equal

✗ C. 720 dollars: moved decimal

✗ D. 10,800 dollars: 60 percent

Arithmetic checked by code: yes. Sources: none (stable)

S123-F1-Q5 · question page 2583

ENT.HELP.05 · Apply it: set up a two-partner business

Which question best reveals different risk tolerance?

Answer: C. "How much of our savings are we willing to lose if this fails?"

Money and risk.

✗ A. "What is your favorite color?": irrelevant

✗ B. "Which font do you like?": irrelevant

✗ D. "Where should we eat today, and who is paying for it?": irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q1 · question page 2584

ENT.HELP.05 · Handle the complications: stalled partners and exits

A partner stops contributing work for months. The agreement covers this. What should happen?

Answer: B. Follow the agreement's process for non-contribution

Use the agreed process.

- ✗ A. Lock them out of everything without any notice: improper
- ✗ C. Ignore it and resent them: harmful
- ✗ D. Post about it online: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q2 · question page 2585

ENT.HELP.05 · Handle the complications: stalled partners and exits

A partner wants to sell her share to a stranger. What should the others check?

Answer: C. What the agreement says about selling shares

Transfer rules.

- ✗ A. Only the logo: irrelevant
- ✗ B. Nothing, because anyone can join any business: may be restricted
- ✗ D. Only the stranger's car: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q3 · question page 2586

ENT.HELP.05 · Handle the complications: stalled partners and exits

Partners never wrote an agreement and now disagree about profit shares. What is likely?

Answer: D. A difficult dispute with no agreed rule

Missing rules cause disputes.

- ✗ A. An easy, quick resolution: unlikely
- ✗ B. Automatic equal shares everywhere, always: uncertain
- ✗ C. The business pays no taxes: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S123-F2-Q4 · question page 2587

ENT.HELP.05 · Handle the complications: stalled partners and exits

A mediator costs 150 dollars an hour for 4 hours, and the two partners split the cost equally. What does each partner pay?

Answer: B. 300 dollars

150 x 4 / 2 = 300.

- ✗ A. 600 dollars: total
- ✗ C. 75 dollars: half hour
- ✗ D. 150 dollars: one hour

Arithmetic checked by code: yes. Sources: none (stable)

S123-F2-Q5 · question page 2588

ENT.HELP.05 · Handle the complications: stalled partners and exits

Which statement is accurate?

Answer: D. Written agreements help partnerships survive disagreements.

Plan ahead.

- ✗ A. Ownership always equals hours worked.: not necessarily
- ✗ B. Good friends never need written partnership agreements.: not true
- ✗ C. Partnerships never fail.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S124-M-Q1 · question page 2590

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What does SCORE offer?

Answer: A. Free volunteer mentoring

Mentoring.

- ✗ B. Free business loans for every owner: not stated
- ✗ C. Free tax filing for all businesses: not stated
- ✗ D. Free legal representation in court: not stated

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-M-Q2 · question page 2591

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What do SBDCs offer?

Answer: B. Free or low-cost consulting

Consulting.

- ✗ A. Payroll processing: not stated
- ✗ C. Guaranteed grants: not stated
- ✗ D. Trademark registrations for free: not stated

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-M-Q3 · question page 2592

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

Who should answer a specific tax decision?

Answer: D. A CPA, enrolled agent or other qualified tax pro

Licensed advice.

- ✗ A. A social media follower who posts tax tips: not qualified
- ✗ B. A competitor who runs a similar small business: not qualified, and conflicted
- ✗ C. A friendly mentor who works in another field: outside their field

Arithmetic checked by code: not applicable. Sources: sba_counsel

S124-M-Q4 · question page 2593

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What should an owner check about free help?

Answer: A. Their experience and qualifications for the question

Fit and qualifications.

- ✗ B. Only their website colors: irrelevant
- ✗ C. Nothing, because free help is always right for any question: not always
- ✗ D. Only how fast they reply: not enough

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-M-Q5 · question page 2594

ENT.HELP.06 · Match questions to mentors, free programs and licensed professionals

What can a mentor help with?

Answer: B. Spotting blind spots from experience

Perspective.

- ✗ A. Signing contracts for you: no
- ✗ C. Filing your taxes by law: no
- ✗ D. Guaranteeing that the business succeeds: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q1 · question page 2595

ENT.HELP.06 · Asking for directions

A helpful local resident is like what?

Answer: B. A mentor or free program

Free guidance.

✗ A. A licensed attorney in court: no

✗ C. A tax agency: no

✗ D. A bank: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q2 · question page 2596

ENT.HELP.06 · Asking for directions

A licensed mountain guide is like what?

Answer: C. A licensed professional for risky decisions

Qualified help.

✗ A. A random stranger: no

✗ B. A paper map with no roads drawn on it: no

✗ D. A friend's guess: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q3 · question page 2597

ENT.HELP.06 · Asking for directions

When do you want the licensed guide?

Answer: B. For a risky, complicated route

High stakes.

✗ A. For a short walk to the store: not needed

✗ C. Only on sunny days: no

✗ D. Never: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q4 · question page 2598

ENT.HELP.06 · Asking for directions

Contracts and taxes are like what in the picture?

Answer: A. The risky mountain pass

Specific, risky decisions.

- ✗ B. A parking lot near the trail: no
- ✗ C. A coffee break: no
- ✗ D. A short walk: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-B1-Q5 · question page 2599

ENT.HELP.06 · Asking for directions

Is free help useful?

Answer: D. Yes, often

Often valuable.

- ✗ A. Never: no
- ✗ B. Only for experts: no
- ✗ C. Only when paid later: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q1 · question page 2600

ENT.HELP.06 · Apply it: choose the right help

A new owner wants feedback on her business plan at no cost. Which option fits best?

Answer: A. A free mentoring program such as SCORE

Free mentoring.

- ✗ B. A paid attorney for a full lawsuit: mismatch
- ✗ C. A social media poll of strangers: unreliable
- ✗ D. A competitor's opinion: conflict

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q2 · question page 2601

ENT.HELP.06 · Apply it: choose the right help

An owner must decide how to structure a large investor deal. Who fits best?

Answer: B. A licensed attorney

Specific legal advice.

- ✗ A. A random forum: unreliable
- ✗ C. A library workshop alone: not specific
- ✗ D. A friend who once sold cookies: not qualified

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q3 · question page 2602

ENT.HELP.06 · Apply it: choose the right help

A workshop costs 25 dollars and an attorney consultation costs 200. How much more is the consultation?

Answer: A. 175 dollars

200 - 25 = 175.

- ✗ B. 225 dollars: added
- ✗ C. 200 dollars: consultation
- ✗ D. 8 dollars: ratio

Arithmetic checked by code: yes. Sources: sba_counsel

S124-F1-Q4 · question page 2603

ENT.HELP.06 · Apply it: choose the right help

A mentor gives confident tax advice outside her field. What should the owner do?

Answer: D. Confirm it with a tax professional

Verify outside expertise.

- ✗ A. Follow it without checking with anyone: risky
- ✗ B. Ignore all mentors forever: overreaction
- ✗ C. Post it online as fact: risky

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F1-Q5 · question page 2604

ENT.HELP.06 · Apply it: choose the right help

Where else might an owner find local workshops?

Answer: B. Libraries and chambers of commerce

Local options.

- ✗ A. Only private, paid online courses: not only
- ✗ C. Only abroad: no
- ✗ D. Nowhere: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q1 · question page 2605

ENT.HELP.06 · Handle the complications: conflicting advice and fit

Two mentors give opposite advice. What should the owner do?

Answer: A. Ask each for reasons and test against her own evidence

Weigh reasons.

- ✗ B. Flip a coin: arbitrary
- ✗ C. Ignore both and guess: wasteful
- ✗ D. Follow whichever mentor happened to speak to her last: arbitrary

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q2 · question page 2606

ENT.HELP.06 · Handle the complications: conflicting advice and fit

A "free" advisor pushes the owner to buy his own expensive program. What should she consider?

Answer: C. Whether the advice is influenced by his sales interest

Check conflicts of interest.

- ✗ A. Only his website: irrelevant
- ✗ B. Buying immediately: risky
- ✗ D. Nothing, because free advice is always unbiased: not necessarily

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q3 · question page 2607

ENT.HELP.06 · Handle the complications: conflicting advice and fit

An owner can afford one hour with an accountant. Which question is the best use?

Answer: D. How to plan for taxes given her business structure

High-value expertise.

- ✗ A. Which logo color to choose for the new shop: not accounting
- ✗ B. Which coffee to stock: not accounting
- ✗ C. What to name her cat: irrelevant

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S124-F2-Q4 · question page 2608

ENT.HELP.06 · Handle the complications: conflicting advice and fit

A mentor helped her avoid a 1,500-dollar mistake. The mentoring was free. What was the net value of that advice?

Answer: C. 1,500 dollars

1,500 saved - 0 cost.

- ✗ A. 0 dollars: it had value

✗ B. 3,000 dollars: doubled

✗ D. 750 dollars: halved

Arithmetic checked by code: yes. Sources: sba_counsel

S124-F2-Q5 · question page 2609

ENT.HELP.06 · Handle the complications: conflicting advice and fit

Which statement is accurate?

Answer: C. Free help is valuable; licensed pros handle legal and tax decisions.

Match help to need.

✗ A. Mentors can replace attorneys and accountants for any question.: not true

✗ B. Free help is always wrong.: not true

✗ D. Professionals are never needed.: not true

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S125-M-Q1 · question page 2611

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What does bootstrapping mean?

Answer: C. Growing with your own money and sales, without loans or investors

Self-funded growth.

✗ A. Selling part of the business to investors on day one: opposite

✗ B. Buying expensive boots for every employee in the shop: pun

✗ D. Borrowing as much as possible from several banks at once: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-M-Q2 · question page 2612

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What is a benefit of bootstrapping?

Answer: B. You keep control and avoid debt

Control, no debt.

- ✗ A. You never need to make a single sale to survive: sales are needed
- ✗ C. Growth is always faster than with any outside money: often slower
- ✗ D. Your personal savings can never be at risk at all: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-M-Q3 · question page 2613

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What should an owner decide before using savings?

Answer: D. How much she can afford to lose without harming her household

Set a limit.

- ✗ A. How quickly she can spend every dollar she has saved: risky
- ✗ B. How much her neighbors spent on their own businesses: irrelevant
- ✗ C. Which bank has the nicest-looking logo and branches: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-M-Q4 · question page 2614

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

An owner has 12,000 dollars in savings and keeps 7,000 for a household emergency fund. How much could she put in?

Answer: B. 5,000 dollars

12,000 - 7,000 = 5,000.

- ✗ A. 7,000 dollars: emergency fund
- ✗ C. 12,000 dollars: all savings
- ✗ D. 19,000 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S125-M-Q5 · question page 2615

ENT.FUND.01 · Decide how much of your own money to risk and grow from sales

What should happen with early profits when bootstrapping?

Answer: A. Reinvest them in the business

Fuel growth.

- ✗ B. Hide them so no records show them: improper
- ✗ C. Spend them all on personal luxuries right away: slows growth
- ✗ D. Give them to competitors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-B1-Q1 · question page 2616

ENT.FUND.01 · Keeping a safety amount

Monthly costs 1,500 for 3 months. What is the safe amount?

Answer: D. 4,500

1,500 x 3 = 4,500.

- ✗ A. 4,500 per month: wrong unit
- ✗ B. 1,500: one month
- ✗ C. 500: divided

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q2 · question page 2617

ENT.FUND.01 · Keeping a safety amount

Savings 10,000, safe amount 6,000. How much could be risked?

Answer: C. 4,000

10,000 - 6,000 = 4,000.

✗ A. 6,000: safe amount

✗ B. 10,000: all

✗ D. 16,000: added

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q3 · question page 2618

ENT.FUND.01 · Keeping a safety amount

Savings 5,000, safe amount 6,000. How much could be risked?

Answer: A. Nothing yet

Savings are below the safe amount.

✗ B. 11,000: added

✗ C. 1,000 (the difference): negative

✗ D. 5,000: all

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q4 · question page 2619

ENT.FUND.01 · Keeping a safety amount

Monthly costs 2,200 for 6 months. What is the safe amount?

Answer: D. 13,200

2,200 x 6 = 13,200.

✗ A. 8,200: added

✗ B. 366.67: divided

✗ C. 2,200: one month

Arithmetic checked by code: yes. Sources: none (stable)

S125-B1-Q5 · question page 2620

ENT.FUND.01 · Keeping a safety amount

Which step comes first?

Answer: C. Find the safe amount, then subtract it from savings

Protect first.

- ✗ A. Add costs to savings: wrong
- ✗ B. Divide savings by monthly costs, and stop there: incomplete
- ✗ D. Spend first, then count: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F1-Q1 · question page 2621

ENT.FUND.01 · Apply it: plan a bootstrapped start

A tutor needs 300 dollars for materials and a simple website. She has 900 dollars she can afford to lose. What fits best?

Answer: C. Start small with 300 dollars and test demand

Smallest test.

- ✗ A. Wait years until she can afford an office: unnecessary
- ✗ B. Borrow 20,000 dollars to start big: too large
- ✗ D. Spend all 900 dollars on ads on day one: untested

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F1-Q2 · question page 2622

ENT.FUND.01 · Apply it: plan a bootstrapped start

Month 1 profit is 400 dollars. She reinvests 75 percent. How much is reinvested?

Answer: D. 300 dollars

0.75 x 400 = 300.

- ✗ A. 400 dollars: all
- ✗ B. 100 dollars: kept
- ✗ C. 75 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S125-F1-Q3 · question page 2623

ENT.FUND.01 · Apply it: plan a bootstrapped start

Bootstrapping limits her to 5 clients now. A loan would allow 15. What is the main tradeoff?

Answer: A. Slower growth versus avoiding debt

Speed versus risk.

- ✗ B. Bootstrapping is illegal: no
- ✗ C. Loans never need repaying: they do
- ✗ D. No tradeoff exists between the two choices: there is

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F1-Q4 · question page 2624

ENT.FUND.01 · Apply it: plan a bootstrapped start

Her household needs 1,800 a month and she wants 3 months covered. Savings are 7,000. How much could she risk?

Answer: A. 1,600 dollars

7,000 - 5,400 = 1,600.

- ✗ B. 7,000 dollars: all
- ✗ C. 3,600 dollars: two months
- ✗ D. 5,400 dollars: safe amount

Arithmetic checked by code: yes. Sources: none (stable)

S125-F1-Q5 · question page 2625

ENT.FUND.01 · Apply it: plan a bootstrapped start

Which purchase best fits a bootstrapped start?

Answer: C. Used equipment that covers the basic need

Lean spending.

- ✗ A. The newest top-model equipment on credit: debt
- ✗ B. A large office before any clients: premature
- ✗ D. Custom uniforms for future staff: premature

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q1 · question page 2626

ENT.FUND.01 · Handle the complications: draining savings

After 6 months, the owner has used her whole emergency fund on the business. What is the risk?

Answer: B. A household emergency could force bad decisions

Household safety matters.

- ✗ A. No risk, because the business will surely succeed: not certain
- ✗ C. Her business automatically becomes an LLC: no
- ✗ D. Her taxes will go to zero: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q2 · question page 2627

ENT.FUND.01 · Handle the complications: draining savings

The business needs 2,000 dollars more but she set a loss limit she has reached. What is a sensible step?

Answer: C. Pause and reassess before spending more

Respect the limit.

- ✗ A. Max out personal credit cards without a plan: risky
- ✗ B. Spend the rent money too: harms household
- ✗ D. Ignore the limit she set: defeats the purpose

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q3 · question page 2628

ENT.FUND.01 · Handle the complications: draining savings

Sales grow 10 percent a month from 1,000 dollars. About what are sales in month 3 (two increases)?

Answer: A. 1,210 dollars

1,000 x 1.1 x 1.1 = 1,210.

- ✗ B. 1,200 dollars: added 10 percent of original twice
- ✗ C. 1,300 dollars: three
- ✗ D. 1,100 dollars: one increase

Arithmetic checked by code: yes. Sources: none (stable)

S125-F2-Q4 · question page 2629

ENT.FUND.01 · Handle the complications: draining savings

A friend says bootstrapping is "too slow to work." What is a balanced reply?

Answer: A. It can be slower but keeps control and avoids debt

Tradeoffs.

- ✗ B. It requires investors at the start: opposite
- ✗ C. It never works for anyone: not true
- ✗ D. It is always faster than borrowing or investors: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S125-F2-Q5 · question page 2630

ENT.FUND.01 · Handle the complications: draining savings

Which statement is accurate?

Answer: C. Set a loss limit and grow from sales where possible.

Plan the risk.

✗ A. Debt is required to start any business.: not true

✗ B. All savings should be risked at once to grow faster.: risky

✗ D. Bootstrapping means no sales are needed.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-M-Q1 · question page 2632

ENT.FUND.02 · Compare loans by total cost, term and guarantees

What is interest?

Answer: B. The cost of borrowing money

Borrowing cost.

✗ A. A discount the lender gives for borrowing: opposite

✗ C. A tax the state charges on all sales: different

✗ D. The owner's personal hobby or passion: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-M-Q2 · question page 2633

ENT.FUND.02 · Compare loans by total cost, term and guarantees

A loan has 24 payments of 250 dollars. What is the total repaid?

Answer: D. 6,000 dollars

24 x 250 = 6,000.

✗ A. 274 dollars: added

✗ B. 5,000 dollars: 20 payments

✗ C. 250 dollars: one payment

Arithmetic checked by code: yes. Sources: none (stable)

S126-M-Q3 · question page 2634

ENT.FUND.02 · Compare loans by total cost, term and guarantees

A 5,000-dollar loan is repaid with 24 payments of 250 dollars (6,000 dollars in total). How much interest was paid?

Answer: A. 1,000 dollars

6,000 - 5,000 = 1,000.

- ✗ B. 6,000 dollars: total repaid
- ✗ C. 11,000 dollars: added
- ✗ D. 250 dollars: one payment

Arithmetic checked by code: yes. Sources: none (stable)

S126-M-Q4 · question page 2635

ENT.FUND.02 · Compare loans by total cost, term and guarantees

What usually happens with a longer term?

Answer: B. Lower monthly payments but more total interest

Tradeoff.

- ✗ A. The loan never needs repaying: not true
- ✗ C. Higher monthly payments and less total interest: reversed
- ✗ D. No interest is charged at all: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-M-Q5 · question page 2636

ENT.FUND.02 · Compare loans by total cost, term and guarantees

What is collateral?

Answer: D. Property the lender can take if the loan is not repaid

Security for the loan.

- ✗ A. A free gift from the bank: no
- ✗ B. A coworker who helps the owner with the loan paperwork: pun
- ✗ C. A discount on the interest rate: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-B1-Q1 · question page 2637

ENT.FUND.02 · Total repaid and interest

12 payments of 100. What is the total repaid?

Answer: C. 1,200

12 x 100 = 1,200.

- ✗ A. 1,000: ten
- ✗ B. 112: added
- ✗ D. 100: one

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q2 · question page 2638

ENT.FUND.02 · Total repaid and interest

Total repaid 1,200; borrowed 1,000. What is the interest?

Answer: D. 200

1,200 - 1,000 = 200.

- ✗ A. 2,200: added
- ✗ B. 1,000: borrowed
- ✗ C. 1,200: total

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q3 · question page 2639

ENT.FUND.02 · Total repaid and interest

36 payments of 150. What is the total repaid?

Answer: A. 5,400

36 x 150 = 5,400.

✗ B. 186: added

✗ C. 150: one

✗ D. 4,500: 30

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q4 · question page 2640

ENT.FUND.02 · Total repaid and interest

Loan A total 5,400; Loan B total 5,100. Which costs less?

Answer: D. Loan B

Lower total.

✗ A. They are equal: differ

✗ B. Cannot tell: can

✗ C. Loan A: higher

Arithmetic checked by code: yes. Sources: none (stable)

S126-B1-Q5 · question page 2641

ENT.FUND.02 · Total repaid and interest

Why compare total repaid rather than monthly payment alone?

Answer: B. A lower payment can hide a higher total cost

Total cost matters.

✗ A. Lenders forbid it: no

✗ C. Totals are not real money: they are

✗ D. Monthly payment always shows total cost: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F1-Q1 · question page 2642

ENT.FUND.02 · Apply it: choose between two loans

Loan A: 12 payments of 450. Loan B: 24 payments of 240. Both lend 5,000. Which has the lower total cost?

Answer: C. A, at 5,400 total

A: 5,400; B: 5,760.

- ✗ A. B, because its payment is lower: payment is not total
- ✗ B. B, at 5,760 total: higher
- ✗ D. They are equal: differ

Arithmetic checked by code: yes. Sources: none (stable)

S126-F1-Q2 · question page 2643

ENT.FUND.02 · Apply it: choose between two loans

Loan A needs 450 dollars a month; Loan B needs 240 dollars a month. The owner's cash flow can safely cover only 300 dollars a month. Which loan fits her cash flow?

Answer: A. B, at 240 a month

Affordability.

- ✗ B. Both fit easily: A does not
- ✗ C. A, at 450 a month: too high
- ✗ D. Neither could ever fit: B fits

Arithmetic checked by code: yes. Sources: none (stable)

S126-F1-Q3 · question page 2644

ENT.FUND.02 · Apply it: choose between two loans

Both loans lend 5,000 dollars. Loan A: 12 payments of 450 dollars. Loan B: 24 payments of 240 dollars. How much more interest does B cost than A?

Answer: B. 360 dollars

760 - 400 = 360.

- ✗ A. 210 dollars: payment difference

✗ C. 400 dollars: A interest

✗ D. 760 dollars: B interest

Arithmetic checked by code: yes. Sources: none (stable)

S126-F1-Q4 · question page 2645

ENT.FUND.02 · Apply it: choose between two loans

A lender requires a personal guarantee. What does it mean for the owner?

Answer: A. She may have to repay personally if the business cannot

Personal liability.

✗ B. The loan becomes free: no

✗ C. Nothing, because an LLC always protects her from it: guarantee bypasses

✗ D. The lender guarantees her profit: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F1-Q5 · question page 2646

ENT.FUND.02 · Apply it: choose between two loans

What is the best use of a loan?

Answer: B. A plan that can realistically repay from cash flow

Repayable plans.

✗ A. Buying things that do not help sales: wasteful

✗ C. Covering ongoing losses with no plan to fix them: risky

✗ D. Personal vacations: not business

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F2-Q1 · question page 2647

ENT.FUND.02 · Handle the complications: tempting offers

An online lender offers "fast cash, small daily payments" with no clear total cost. What should the owner do?

Answer: A. Ask for the total repaid and the rate before deciding

Know the total.

- ✗ B. Sign without reading: risky
- ✗ C. Assume small payments mean low cost: not necessarily
- ✗ D. Accept quickly before the fast-cash offer ends: pressure

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F2-Q2 · question page 2648

ENT.FUND.02 · Handle the complications: tempting offers

Daily payments of 40 dollars for 150 business days on a 5,000-dollar advance. What is the total repaid?

Answer: C. 6,000 dollars

40 x 150 = 6,000.

- ✗ A. 4,000 dollars: 100 days
- ✗ B. 190 dollars: added
- ✗ D. 5,000 dollars: borrowed

Arithmetic checked by code: yes. Sources: none (stable)

S126-F2-Q3 · question page 2649

ENT.FUND.02 · Handle the complications: tempting offers

A loan would cover a slow season, but sales have been falling for a year with no plan to fix it. What is the concern?

Answer: B. The loan may only delay a bigger problem

Fix the cause.

- ✗ A. The bank pays the debt: no

✗ C. No concern; loans fix falling sales: not alone

✗ D. Interest will be negative: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S126-F2-Q4 · question page 2650

ENT.FUND.02 · Handle the complications: tempting offers

A 6,000-dollar loan at 8 percent simple interest for one year costs how much interest?

Answer: D. 480 dollars

0.08 x 6,000 = 480.

✗ A. 4,800 dollars: moved decimal

✗ B. 6,480 dollars: total

✗ C. 80 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S126-F2-Q5 · question page 2651

ENT.FUND.02 · Handle the complications: tempting offers

Which statement is accurate?

Answer: B. Compare total cost; borrow only what cash flow can repay.

Careful borrowing.

✗ A. Loans never need guarantees.: often do

✗ C. The lowest monthly payment is always the cheapest loan.: not always

✗ D. Borrowing more fixes almost any business problem.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S127-M-Q1 · question page 2653

ENT.FUND.03 · Understand what grants are and their limits

What is a grant?

Answer: A. Money for specific purposes that is not repaid

Non-repayable funding.

- ✗ B. A loan with a very low interest rate from a bank: must be repaid
- ✗ C. An investment that buys part of the business: equity
- ✗ D. A tax that small businesses must pay each year: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-M-Q2 · question page 2654

ENT.FUND.03 · Understand what grants are and their limits

Are grants for starting any general small business common?

Answer: D. Less common than many people think

Many are targeted.

- ✗ A. Yes, if you pay a fee to a website: scam risk
- ✗ B. No grants exist anywhere at all: not true
- ✗ C. Yes, every new business gets one automatically: not true

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-M-Q3 · question page 2655

ENT.FUND.03 · Understand what grants are and their limits

What do grants often require?

Answer: C. Following rules on spending and sending reports

Conditions apply.

- ✗ A. Nothing at all after receiving the money: often rules
- ✗ B. Giving up ownership of the business: that is equity
- ✗ D. Repaying the full amount with interest: that is a loan

Arithmetic checked by code: not applicable. Sources: sba_counsel

S127-M-Q4 · question page 2656

ENT.FUND.03 · Understand what grants are and their limits

A website charges 199 dollars to "guarantee" a grant. What should the owner do?

Answer: C. Be wary; real programs do not sell guarantees

Guarantee offers are red flags.

- ✗ A. Give the site her bank login to speed things up: unsafe
- ✗ B. Pay twice for a bigger grant: scam risk
- ✗ D. Pay quickly to secure the grant: scam risk

Arithmetic checked by code: not applicable. Sources: sba_counsel

S127-M-Q5 · question page 2657

ENT.FUND.03 · Understand what grants are and their limits

Where can an owner get free help finding real programs?

Answer: B. An SBDC or similar organization

Free assistance.

- ✗ A. A paid "guaranteed grant" website: risk
- ✗ C. A random social media ad: unreliable
- ✗ D. A competitor: unlikely

Arithmetic checked by code: not applicable. Sources: sba_counsel

S127-B1-Q1 · question page 2658

ENT.FUND.03 · A scholarship for a business

A grant is like what?

Answer: D. A scholarship

Free money with rules.

✗ A. A loan from a friend: repaid

✗ B. A paycheck from work: earned

✗ C. A parking ticket: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q2 · question page 2659

ENT.FUND.03 · A scholarship for a business

Who gets a scholarship?

Answer: D. Those who fit the rules and apply on time

Eligibility and deadlines.

✗ A. Whoever pays a fee: no

✗ B. Nobody ever: no

✗ C. Everyone automatically, without applying: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q3 · question page 2660

ENT.FUND.03 · A scholarship for a business

Someone charging to "guarantee" a scholarship is what?

Answer: A. Suspicious

Red flag.

✗ B. Required by schools: no

✗ C. Normal and helpful: no

✗ D. A government rule: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q4 · question page 2661

ENT.FUND.03 · A scholarship for a business

Must the scholarship be used as promised?

Answer: B. Yes

Conditions.

- ✗ A. Only if asked: no
- ✗ C. Only in summer: no
- ✗ D. No, any use is fine: rules apply

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-B1-Q5 · question page 2662

ENT.FUND.03 · A scholarship for a business

Does every student get a scholarship?

Answer: D. No

Competitive and targeted.

- ✗ A. Only seniors: no
- ✗ B. Only if they ask nicely: no
- ✗ C. Yes, always: no

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F1-Q1 · question page 2663

ENT.FUND.03 · Apply it: evaluate a grant opportunity

A grant funds "rural food businesses" up to 5,000 dollars. A city tech startup applies. What is the likely issue?

Answer: C. It does not fit the grant's purpose

Eligibility.

- ✗ A. The amount is too small to matter: not the issue
- ✗ B. No issue; grants fit everyone: targeted
- ✗ D. Grants never fund food: this one does

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F1-Q2 · question page 2664

ENT.FUND.03 · Apply it: evaluate a grant opportunity

Preparing an application takes 20 hours. The owner values her time at 30 dollars an hour. What is the time cost?

Answer: A. 600 dollars

20 x 30 = 600.

- ✗ B. 30 dollars: one hour
- ✗ C. 50 dollars: added
- ✗ D. 20 dollars: hours

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F1-Q3 · question page 2665

ENT.FUND.03 · Apply it: evaluate a grant opportunity

The grant is 5,000 dollars with a 1-in-10 chance of winning. What is the expected value?

Answer: B. 500 dollars

5,000 x 0.1 = 500.

- ✗ A. 50 dollars: moved decimal
- ✗ C. 10 dollars: odds
- ✗ D. 5,000 dollars: full

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F1-Q4 · question page 2666

ENT.FUND.03 · Apply it: evaluate a grant opportunity

Comparing 500 dollars of expected value with 600 dollars of time cost, what does the math suggest alone?

Answer: A. The expected value is lower than the time cost

500 < 600.

- ✗ B. The odds are 100 percent: no
- ✗ C. Time has no value: it does
- ✗ D. The grant is a guaranteed gain for her time: not guaranteed

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F1-Q5 · question page 2667

ENT.FUND.03 · Apply it: evaluate a grant opportunity

A grant requires spending only on equipment, with receipts. The owner wants to pay rent with it. What should she do?

Answer: D. Follow the spending rules

Comply.

- ✗ A. Ignore the reports: improper
- ✗ B. Spend it on rent and hope: violates
- ✗ C. Hide the receipts: improper

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q1 · question page 2668

ENT.FUND.03 · Handle the complications: dependence and scams

An owner plans her whole launch around winning a grant she has not received. What is the risk?

Answer: B. The plan fails if the grant does not come

Do not depend on uncertain money.

- ✗ A. Grants arrive instantly: not always
- ✗ C. She must repay it twice: no
- ✗ D. No risk, because grants are certain once applied for: not certain

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q2 · question page 2669

ENT.FUND.03 · Handle the complications: dependence and scams

A caller says she "won a federal business grant" but must pay a processing fee first. What should she do?

Answer: C. Treat it as a likely scam and verify independently

Red flags.

- ✗ A. Give her bank login: scam
- ✗ B. Pay the fee quickly so she can receive the grant: scam
- ✗ D. Share her SSN: scam

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q3 · question page 2670

ENT.FUND.03 · Handle the complications: dependence and scams

A grant requires a 25 percent matching contribution on 8,000 dollars. How much must the owner contribute?

Answer: D. 2,000 dollars

0.25 x 8,000 = 2,000.

- ✗ A. 8,000 dollars: grant
- ✗ B. 10,000 dollars: total
- ✗ C. 25 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: sba_counsel

S127-F2-Q4 · question page 2671

ENT.FUND.03 · Handle the complications: dependence and scams

A grant's report is due but the owner lost receipts. What could happen?

Answer: D. She may have to repay or lose future eligibility

Keep records.

- ✗ A. The grant doubles: no

✗ B. Receipts are never needed: needed

✗ C. Nothing, because grant reports are always optional: often required

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S127-F2-Q5 · question page 2672

ENT.FUND.03 · Handle the complications: dependence and scams

Which statement is accurate?

Answer: A. Grants are targeted and should not be the only plan.

Realistic expectations.

✗ B. Paying a fee guarantees a grant.: scam

✗ C. Every business qualifies for free startup grants.: not true

✗ D. Grants never require reports.: often do

Arithmetic checked by code: not applicable. Sources: sba_counsel

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S128-M-Q1 · question page 2674

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

What do investors usually receive?

Answer: B. A share of ownership (equity)

Equity.

✗ A. Repayment with fixed interest only: that is a loan

✗ C. Nothing at all in return: they expect a return

✗ D. The founder's personal home: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-M-Q2 · question page 2675

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

An investor pays 20,000 dollars for 20 percent of the company after the deal. What post-money value does this imply?

Answer: D. 100,000 dollars

20,000 / 0.20 = 100,000.

- ✗ A. 20,000 dollars: investment
- ✗ B. 4,000 dollars: percent of investment
- ✗ C. 400,000 dollars: multiplied wrong

Arithmetic checked by code: yes. Sources: none (stable)

S128-M-Q3 · question page 2676

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

What is dilution?

Answer: D. The founder owning a smaller share after selling equity

Ownership shrinks.

- ✗ A. Adding water to a product: pun
- ✗ B. Getting a grant: no
- ✗ C. Paying off a business loan earlier than planned: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-M-Q4 · question page 2677

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

What do reward crowdfunding backers expect?

Answer: C. Delivery of the product or perk promised

Rewards.

- ✗ A. Nothing at all: they expect delivery
- ✗ B. Interest payments every month: loan
- ✗ D. Ownership shares in the company they backed: equity crowdfunding

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-M-Q5 · question page 2678

ENT.FUND.04 · Understand equity, dilution and the main types of crowdfunding

Why is equity crowdfunding more complex?

Answer: B. It sells ownership and has legal rules

Securities rules.

- ✗ A. It requires no paperwork: not true
- ✗ C. It is always free of any legal rules at all: not true
- ✗ D. It only sells T-shirts: that is rewards

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-B1-Q1 · question page 2679

ENT.FUND.04 · Ownership percentages after investment

A founder owns 100 percent and sells 30 percent of the company from her own shares. What does she keep?

Answer: C. 70 percent

100 - 30 = 70.

- ✗ A. 30 percent: sold
- ✗ B. 130 percent: added
- ✗ D. 100 percent: unchanged

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q2 · question page 2680

ENT.FUND.04 · Ownership percentages after investment

10,000 dollars buys 10 percent. What is the implied post-money value?

Answer: B. 100,000

10,000 / 0.10 = 100,000.

✗ A. 1,000: percent

✗ C. 10,000: investment

✗ D. 110,000: added

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q3 · question page 2681

ENT.FUND.04 · Ownership percentages after investment

30,000 dollars buys 15 percent. What is the implied post-money value?

Answer: A. 200,000

30,000 / 0.15 = 200,000.

✗ B. 30,000: investment

✗ C. 4,500: multiplied

✗ D. 45,000: added

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q4 · question page 2682

ENT.FUND.04 · Ownership percentages after investment

A founder owns 80 percent and sells 25 percentage points of the whole company from her existing shares, with no new shares issued. What does she keep?

Answer: D. 55 percent

80 - 25 = 55 percent. (If the company instead issued new shares for 25 percent after the deal, she would keep 80 x 0.75 = 60 percent.)

✗ A. 105 percent: added

✗ B. 25 percent: sold

✗ C. 80 percent: unchanged

Arithmetic checked by code: yes. Sources: none (stable)

S128-B1-Q5 · question page 2683

ENT.FUND.04 · Ownership percentages after investment

Implied post-money value is found by dividing the investment by what?

Answer: A. The percent bought, as a decimal

Amount / share.

- ✗ B. The interest rate: no
- ✗ C. The number of employees on payroll: no
- ✗ D. The founder's age: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F1-Q1 · question page 2684

ENT.FUND.04 · Apply it: read an investment offer

An investor offers 50,000 dollars for 25 percent of the company after the deal. What post-money value does this imply?

Answer: B. 200,000 dollars

50,000 / 0.25 = 200,000.

- ✗ A. 75,000 dollars: added
- ✗ C. 50,000 dollars: investment
- ✗ D. 12,500 dollars: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S128-F1-Q2 · question page 2685

ENT.FUND.04 · Apply it: read an investment offer

The investor gets 25 percent of the company through new shares, and the founder owned 100 percent before the deal. What percent does the founder keep?

Answer: C. 75 percent

100 - 25 = 75.

- ✗ A. 100 percent: unchanged

✗ B. 25 percent: sold

✗ D. 50 percent: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S128-F1-Q3 · question page 2686

ENT.FUND.04 · Apply it: read an investment offer

The investor also wants a vote on all big decisions. What should the founder consider?

Answer: A. Whether she is comfortable sharing control

Control matters.

✗ B. Nothing; investors never affect decisions: they can

✗ C. Only the investor's car: irrelevant

✗ D. Only the logo: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F1-Q4 · question page 2687

ENT.FUND.04 · Apply it: read an investment offer

A reward campaign promises 300 backers a lamp each. Making and shipping each lamp costs 32 dollars. What is the total cost?

Answer: D. 9,600 dollars

300 x 32 = 9,600.

✗ A. 32 dollars: one lamp

✗ B. 960 dollars: moved decimal

✗ C. 332 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S128-F1-Q5 · question page 2688

ENT.FUND.04 · Apply it: read an investment offer

The campaign raised 12,000 dollars and the platform keeps 5 percent. How much does the

owner receive?

Answer: B. 11,400 dollars

12,000 x 0.95 = 11,400.

- ✗ A. 12,000 dollars: ignored fee
- ✗ C. 600 dollars: fee
- ✗ D. 11,950 dollars: subtracted 50

Arithmetic checked by code: yes. Sources: none (stable)

S128-F2-Q1 · question page 2689

ENT.FUND.04 · Handle the complications: promises and control

After fees, the campaign leaves 11,400 dollars but lamps cost 9,600 to deliver. How much is left for everything else?

Answer: D. 1,800 dollars

11,400 - 9,600 = 1,800.

- ✗ A. 21,000 dollars: added
- ✗ B. 11,400 dollars: ignored costs
- ✗ C. 9,600 dollars: costs

Arithmetic checked by code: yes. Sources: none (stable)

S128-F2-Q2 · question page 2690

ENT.FUND.04 · Handle the complications: promises and control

Manufacturing costs rise and lamps will be late. What should the owner do?

Answer: B. Update backers honestly with a new timeline

Honest updates.

- ✗ A. Launch another campaign to cover it secretly: risky
- ✗ C. Stay silent and hope: harms trust
- ✗ D. Cancel without refunds: improper

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F2-Q3 · question page 2691

ENT.FUND.04 · Handle the complications: promises and control

A founder sells 30 percent, then later another 30 percent of the company from her shares. What does she own now?

Answer: C. 40 percent

100 - 30 - 30 = 40.

- ✗ A. 0 percent: no
- ✗ B. 70 percent: one sale
- ✗ D. 60 percent: sold

Arithmetic checked by code: yes. Sources: none (stable)

S128-F2-Q4 · question page 2692

ENT.FUND.04 · Handle the complications: promises and control

An equity crowdfunding platform requires disclosures. Why?

Answer: C. Selling ownership is regulated to protect investors

Investor protection.

- ✗ A. To make campaigns slower for fun: not the reason
- ✗ B. Because rewards are illegal: no
- ✗ D. Disclosures are optional decoration for the page: required

Arithmetic checked by code: not applicable. Sources: none (stable)

S128-F2-Q5 · question page 2693

ENT.FUND.04 · Handle the complications: promises and control

Which statement is accurate?

Answer: B. Investors buy ownership; crowdfunding promises must be kept.

Know the trade.

- ✗ A. Backers expect nothing in return.: they do
- ✗ C. Selling equity never reduces the founder's ownership share.: it does
- ✗ D. Investors never expect a return.: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q1 · question page 2695

ENT.FUND.05 · Separate money raised from profit and compute runway

Is a 30,000-dollar loan profit?

Answer: C. No, it must be repaid

Debt is not profit.

- ✗ A. Yes, all cash received is profit: not true
- ✗ B. Yes, if spent within a month: no
- ✗ D. Only if the bank is local: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q2 · question page 2696

ENT.FUND.05 · Separate money raised from profit and compute runway

Which of these adds operating profit for a small shop?

Answer: A. Selling products for more than they cost

Loans, investor money and owner contributions add cash but are financing. Operating profit comes from selling for more than costs.

- ✗ B. Moving the owner's savings into the account: a contribution is financing, not income
- ✗ C. Borrowing 10,000 dollars from a bank: a loan is financing that must be repaid
- ✗ D. Selling part ownership to an investor: investor money is financing, not income

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q3 · question page 2697

ENT.FUND.05 · Separate money raised from profit and compute runway

What is burn rate?

Answer: D. How much cash the business uses each month

Monthly cash use.

- ✗ A. The interest rate charged on a business loan: no
- ✗ B. The tax rate on profit: no
- ✗ C. The temperature of the oven: pun

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-M-Q4 · question page 2698

ENT.FUND.05 · Separate money raised from profit and compute runway

Cash is 24,000 and monthly burn is 3,000. What is the runway?

Answer: C. 8 months

24,000 / 3,000 = 8.

- ✗ A. 3 months: burn
- ✗ B. 72,000 months: multiplied
- ✗ D. 21,000 months: subtracted

Arithmetic checked by code: yes. Sources: none (stable)

S129-M-Q5 · question page 2699

ENT.FUND.05 · Separate money raised from profit and compute runway

A business raised 50,000 dollars but loses 2 dollars on every sale. What is true?

Answer: A. It still loses money on each sale

Funding does not fix unit losses.

✗ B. Each sale now makes money: no

✗ C. Losses disappear with funding: no

✗ D. It is profitable because it raised money: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-B1-Q1 · question page 2700

ENT.FUND.05 · Runway by division

15,000 cash, 3,000 burn. What is the runway?

Answer: B. 5 months

15,000 / 3,000 = 5.

✗ A. 12,000 months: subtracted

✗ C. 3 months: burn

✗ D. 45,000 months: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S129-B1-Q2 · question page 2701

ENT.FUND.05 · Runway by division

10,000 cash, 3,000 burn. How many full months?

Answer: D. 3

10,000 / 3,000 = 3.33, so 3 full months.

✗ A. 7: subtracted

✗ B. 4: rounded up

✗ C. 3.33: not whole

Arithmetic checked by code: yes. Sources: none (stable)

S129-B1-Q3 · question page 2702

ENT.FUND.05 · Runway by division

Why round runway down?

Answer: C. A partial month of cash will not cover a full month

Be conservative.

- ✗ A. Rounding up is always the safer choice here: not here
- ✗ B. It does not matter: it does
- ✗ D. Months cannot be counted: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-B1-Q4 · question page 2703

ENT.FUND.05 · Runway by division

If burn rises, what happens to runway?

Answer: D. It falls

More burn, less time.

- ✗ A. It doubles: no
- ✗ B. It stays the same: no
- ✗ C. It rises: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-B1-Q5 · question page 2704

ENT.FUND.05 · Runway by division

20,000 cash, 2,500 burn. What is the runway?

Answer: B. 8 months

20,000 / 2,500 = 8.

- ✗ A. 17,500 months: subtracted
- ✗ C. 2.5 months: burn
- ✗ D. 50,000 months: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S129-F1-Q1 · question page 2705

ENT.FUND.05 · Apply it: read cash versus profit

A startup has 40,000 dollars from investors and loses 5,000 a month. How many months of runway?

Answer: A. 8 months

40,000 / 5,000 = 8.

- ✗ B. 5 months: burn in thousands
- ✗ C. 35,000 months: subtracted
- ✗ D. 200,000 months: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S129-F1-Q2 · question page 2706

ENT.FUND.05 · Apply it: read cash versus profit

The founder says, "We have 40,000, so we are profitable." What is wrong?

Answer: A. Raised money is not profit; it loses money monthly

Cash versus profit.

- ✗ B. Losses are a type of profit: no
- ✗ C. Nothing; cash always means profit: not true
- ✗ D. Investors always guarantee profit to the founders: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F1-Q3 · question page 2707

ENT.FUND.05 · Apply it: read cash versus profit

If burn is cut from 5,000 to 4,000 a month, what is the new runway on 40,000?

Answer: D. 10 months

40,000 / 4,000 = 10.

- ✗ A. 9 months: miscalculated
- ✗ B. 4 months: burn
- ✗ C. 8 months: old

Arithmetic checked by code: yes. Sources: none (stable)

S129-F1-Q4 · question page 2708

ENT.FUND.05 · Apply it: read cash versus profit

A shop sells an item for 15 dollars that costs 18 dollars to make and ship. Raising more money will do what?

Answer: B. Fund more losses unless price or cost changes

Fix unit economics.

- ✗ A. Remove the costs: no
- ✗ C. Turn the loss on each sale into a profit: no
- ✗ D. Make each sale profitable: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F1-Q5 · question page 2709

ENT.FUND.05 · Apply it: read cash versus profit

A 25,000-dollar loan arrives and the bank balance rises. What should the books show?

Answer: A. Cash up and a loan owed, with no profit from it

Record properly.

- ✗ B. 25,000 dollars of profit earned for the month: not profit
- ✗ C. 25,000 dollars of sales: not sales
- ✗ D. Nothing at all: must record

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q1 · question page 2710

ENT.FUND.05 · Handle the complications: celebrating the wrong number

A reward crowdfunding campaign raised 20,000 dollars by promising each backer a product. The owner wants to spend it on a launch party. What is the problem?

Answer: D. The money is owed to backers as products

Obligations first.

- ✗ A. No problem, because campaign money is profit: not profit
- ✗ B. Parties are always tax free: irrelevant
- ✗ C. Backers expect nothing: they expect rewards

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q2 · question page 2711

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Runway is 6 months. When should the owner act to raise more or cut costs?

Answer: C. Well before cash runs out

Plan ahead.

- ✗ A. Never; it will work out: risky
- ✗ B. In the last week: too late
- ✗ D. After cash hits zero: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q3 · question page 2712

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Burn is 6,000 a month, cash is 30,000, and sales add 1,500 a month of net cash. What is the runway using net burn?

Answer: B. 6 full months

30,000 / (6,000 - 1,500) = 6.67, so 6 full months.

- ✗ A. 20 months: divided by sales

✗ C. 5 full months: gross burn

✗ D. 4 months: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S129-F2-Q4 · question page 2713

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Investors ask for a profit plan. What should it show?

Answer: A. How sales will exceed costs over time

Path to profit.

✗ B. Only the logo and website: irrelevant

✗ C. How much more money to raise forever: not profit

✗ D. Only the founder's salary: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S129-F2-Q5 · question page 2714

ENT.FUND.05 · Handle the complications: celebrating the wrong number

Which statement is accurate?

Answer: C. Loans and investor money add cash but are financing, not profit.

Financing adds cash; profit is recognized income minus expenses.

✗ A. Loans count as profit.: not true

✗ B. Raising money is the same as earning it from customers.: not true

✗ D. Runway grows when burn increases.: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-M-Q1 · question page 2716

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

Price 40; product 15, packaging 2, shipping 8, fees 1.50. What is the contribution per order?

Answer: C. 13.50 dollars

40 - 15 - 2 - 8 - 1.50 = 13.50.

- ✗ A. 25.00 dollars: only product cost
- ✗ B. 26.50 dollars: total costs
- ✗ D. 40.00 dollars: price

Arithmetic checked by code: yes. Sources: none (stable)

S130-M-Q2 · question page 2717

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

What is customer acquisition cost?

Answer: A. Marketing spend divided by new customers

CAC.

- ✗ B. Total sales for the year: revenue
- ✗ C. The cost of shipping each order to customers: one cost
- ✗ D. Price minus cost per item: contribution

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-M-Q3 · question page 2718

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

Marketing spend 600 dollars brings 20 new customers. What is CAC?

Answer: D. 30 dollars

600 / 20 = 30.

- ✗ A. 620 dollars: added
- ✗ B. 12,000 dollars: multiplied
- ✗ C. 20 dollars: count

Arithmetic checked by code: yes. Sources: none (stable)

S130-M-Q4 · question page 2719

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

What happens when a business grows with negative unit economics?

Answer: A. Its losses grow

Scale magnifies losses.

- ✗ B. Costs disappear: no
- ✗ C. Its losses shrink automatically: no
- ✗ D. It becomes profitable from size alone: not necessarily

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-M-Q5 · question page 2720

ENT.GROW.01 · Compute contribution per order and compare it with acquisition cost

A customer brings 13.50 per order and orders once. CAC is 30. Does the first order cover CAC?

Answer: B. No, it falls short by 16.50

13.50 - 30 = -16.50.

- ✗ A. It breaks exactly even: no
- ✗ C. Cannot be known: can
- ✗ D. Yes, with 16.50 left over: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S130-B1-Q1 · question page 2721

ENT.GROW.01 · A lemonade stand that pays people to stop by

The 1 dollar paid per new customer is like what?

Answer: C. Customer acquisition cost

Cost to gain a customer.

✗ A. The lemon cost: no

✗ B. The price per cup of lemonade: no

✗ D. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-B1-Q2 · question page 2722

ENT.GROW.01 · A lemonade stand that pays people to stop by

With one cup per customer, what happens?

Answer: D. The stand loses 50 cents per customer

0.50 - 1.00 = -0.50.

✗ A. It breaks even: no

✗ B. It earns 1 dollar: no

✗ C. It earns 50 cents for each new customer: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S130-B1-Q3 · question page 2723

ENT.GROW.01 · A lemonade stand that pays people to stop by

With three cups per customer, how much is left per customer after paying the 1-dollar referral cost?

Answer: C. 0.50 dollars

3 x 0.50 = 1.50 before the referral cost; 1.50 - 1 = 0.50 left.

✗ A. 1.00 dollar: that is the referral cost

✗ B. 3.00 dollars: counted cups, not dollars

✗ D. 1.50 dollars: that is before the referral cost

Arithmetic checked by code: yes. Sources: none (stable)

S130-B1-Q4 · question page 2724

ENT.GROW.01 · A lemonade stand that pays people to stop by

If one-cup customers keep coming, what happens as the stand gets busier?

Answer: A. It loses more

Losses scale.

- ✗ B. It earns more: no
- ✗ C. Lemons get cheaper: not stated
- ✗ D. Nothing changes: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-B1-Q5 · question page 2725

ENT.GROW.01 · A lemonade stand that pays people to stop by

What makes the deal work?

Answer: A. Customers coming back for more

Repeat purchases.

- ✗ B. Charging nothing: worse
- ✗ C. Paying the friend more per customer: worse
- ✗ D. Fewer cups: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F1-Q1 · question page 2726

ENT.GROW.01 · Apply it: test unit economics

A subscription box earns 9 dollars of contribution per month. Customers stay 6 months on average. What is contribution per customer?

Answer: B. 54 dollars

9 x 6 = 54.

- ✗ A. 1.50 dollars: divided
- ✗ C. 15 dollars: added
- ✗ D. 9 dollars: one month

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q2 · question page 2727

ENT.GROW.01 · Apply it: test unit economics

Expected contribution is 9 dollars a month for an average stay of 6 months, so 9 x 6 = 54 dollars per customer. CAC is 40 dollars. On average, is a customer worth acquiring?

Answer: C. Yes, on average, because 54 is more than 40

54 > 40 on average; individual customers will vary.

- ✗ A. Neither, because the two amounts are equal: they differ
- ✗ B. No, because 40 is more than 54: reversed
- ✗ D. It cannot be told from these numbers: it can

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q3 · question page 2728

ENT.GROW.01 · Apply it: test unit economics

Expected contribution per customer is 54 dollars and CAC is 40 dollars. By how much does contribution exceed CAC per customer?

Answer: A. 14 dollars

54 - 40 = 14.

- ✗ B. 94 dollars: added
- ✗ C. 40 dollars: CAC
- ✗ D. 54 dollars: contribution

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q4 · question page 2729

ENT.GROW.01 · Apply it: test unit economics

A subscription box brings 9 dollars of contribution a month. Shipping rises by 3 dollars per box. What is the new monthly contribution?

Answer: D. 6 dollars

9 - 3 = 6.

- ✗ A. 12 dollars: added
- ✗ B. 9 dollars: old
- ✗ C. 3 dollars: the rise

Arithmetic checked by code: yes. Sources: none (stable)

S130-F1-Q5 · question page 2730

ENT.GROW.01 · Apply it: test unit economics

With 6 dollars a month for 6 months and CAC 40, what happens?

Answer: B. Each customer now loses 4 dollars

36 - 40 = -4.

- ✗ A. Each still earns 14 dollars, as before: old
- ✗ C. Each earns 36 dollars: ignored CAC
- ✗ D. It breaks exactly even: no

Arithmetic checked by code: yes. Sources: none (stable)

S130-F2-Q1 · question page 2731

ENT.GROW.01 · Handle the complications: hidden costs and averages

Contribution per order ignores returns. 10 percent of orders return and lose 20 dollars each. What is the average return cost per order?

Answer: C. 2 dollars

0.10 x 20 = 2.

- ✗ A. 10 dollars: percent
- ✗ B. 0.20 dollars: moved decimal
- ✗ D. 20 dollars: per return

Arithmetic checked by code: yes. Sources: none (stable)

S130-F2-Q2 · question page 2732

ENT.GROW.01 · Handle the complications: hidden costs and averages

An owner plans to "make it up on volume" while losing money on each sale. What is wrong?

Answer: D. More volume multiplies the loss

Fix per-unit first.

- ✗ A. Losses become profit after 100 sales: no
- ✗ B. Volume lowers taxes to zero: no
- ✗ C. Nothing; volume always fixes losses: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F2-Q3 · question page 2733

ENT.GROW.01 · Handle the complications: hidden costs and averages

CAC from ads is 25 dollars, but referrals bring customers at 8 dollars. Overall CAC averages 18. What should the owner study?

Answer: C. Which channels bring profitable customers

Channel-level CAC.

- ✗ A. Only the logo: irrelevant
- ✗ B. Nothing, because averages tell everything needed: not always
- ✗ D. Only the overall average: hides differences

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F2-Q4 · question page 2734

ENT.GROW.01 · Handle the complications: hidden costs and averages

Free shipping raised orders but cut contribution per order to 1 dollar. What should the owner check?

Answer: B. Whether total contribution actually rose

Look at totals.

✗ A. Only the number of orders: incomplete

✗ C. Only customer compliments: incomplete

✗ D. Nothing; more orders is always better: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S130-F2-Q5 · question page 2735

ENT.GROW.01 · Handle the complications: hidden costs and averages

Which statement is accurate?

Answer: D. Growth is more likely to help when contribution per customer exceeds CAC.

Growth multiplies whatever each customer brings after costs and acquisition, so check unit economics first.

✗ A. Shipping and payment fees can safely be left out of unit economics.: they count

✗ B. CAC never matters for small shops that sell online.: it does

✗ C. Growth always fixes losses, whatever each sale earns.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q1 · question page 2737

ENT.GROW.02 · Track retention and build repeat sales

What is retention?

Answer: D. The share of customers who come back

Returning customers.

✗ A. A type of business loan: no

✗ B. Holding back an employee's pay: no

✗ C. The number of new ads placed each month: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q2 · question page 2738

ENT.GROW.02 · Track retention and build repeat sales

Of 200 customers, 60 buy again within 90 days. What is the 90-day repeat rate?

Answer: B. 30 percent

60 / 200 = 0.3.

- ✗ A. 3 percent: moved decimal
- ✗ C. 70 percent: non-repeat
- ✗ D. 60 percent: count

Arithmetic checked by code: yes. Sources: none (stable)

S131-M-Q3 · question page 2739

ENT.GROW.02 · Track retention and build repeat sales

Which habit encourages repeat sales?

Answer: B. A reminder when a refill is due, sent with permission

Stay in touch.

- ✗ A. Ignoring past customers: opposite
- ✗ C. Changing quality randomly: opposite
- ✗ D. Making reordering harder so customers try new things: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q4 · question page 2740

ENT.GROW.02 · Track retention and build repeat sales

Why does retention matter?

Answer: D. Keeping customers usually costs less than finding new ones

Efficiency.

✗ A. Retention lowers product quality: no

✗ B. New customers are always free: not true

✗ C. It replaces the need for any new sales or marketing at all: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-M-Q5 · question page 2741

ENT.GROW.02 · Track retention and build repeat sales

A business loses most customers after one purchase. What must it do?

Answer: D. Keep finding new customers constantly

Low retention is costly.

✗ A. Nothing different: no

✗ B. Raise prices for the few customers left: not the point

✗ C. Stop marketing: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q1 · question page 2742

ENT.GROW.02 · A favorite barber

Why do people return to the barber?

Answer: C. Good cuts, easy booking and being remembered

Reasons to return.

✗ A. The shop is far away: no

✗ B. Prices change a lot at every single visit: no

✗ D. The barber is rude: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q2 · question page 2743

ENT.GROW.02 · A favorite barber

What does a returning customer save the barber?

Answer: A. The cost of attracting someone new

Acquisition cost.

- ✗ B. Rent: no
- ✗ C. Taxes: no
- ✗ D. The cost of buying new scissors: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q3 · question page 2744

ENT.GROW.02 · A favorite barber

Easy booking is like what in business?

Answer: A. Easy reordering

Low friction.

- ✗ B. A long wait: no
- ✗ C. A hidden phone number: no
- ✗ D. A complicated form: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q4 · question page 2745

ENT.GROW.02 · A favorite barber

Being remembered is like what?

Answer: A. Staying in touch with customers

Relationship.

- ✗ B. Forgetting customers after one visit: no
- ✗ C. Ignoring complaints: no
- ✗ D. Raising prices: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-B1-Q5 · question page 2746

ENT.GROW.02 · A favorite barber

What extra benefit can happy regulars bring?

Answer: B. Referrals of friends

Word of mouth.

- ✗ A. More complaints: no
- ✗ C. Lower quality: no
- ✗ D. Higher rent for the shop: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F1-Q1 · question page 2747

ENT.GROW.02 · Apply it: improve repeat sales

A coffee bean seller's customers run out in about 30 days. Which step encourages reorders?

Answer: D. A reminder email around day 25, with permission

Timely reminder.

- ✗ A. Making the reorder page hard to find on the site: opposite
- ✗ B. No contact after the first sale: missed
- ✗ C. A reminder at day 120: too late

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F1-Q2 · question page 2748

ENT.GROW.02 · Apply it: improve repeat sales

Repeat rate rises from 20 to 35 percent of 400 customers. How many more customers buy again?

Answer: A. 60

140 - 80 = 60.

- ✗ B. 140: new count
- ✗ C. 15: percent difference
- ✗ D. 80: old count

Arithmetic checked by code: yes. Sources: none (stable)

S131-F1-Q3 · question page 2749

ENT.GROW.02 · Apply it: improve repeat sales

Each repeat order brings 12 dollars of contribution. What do those 60 extra repeat orders bring?

Answer: C. 720 dollars

60 x 12 = 720.

- ✗ A. 72 dollars: added
- ✗ B. 60 dollars: count
- ✗ D. 12 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S131-F1-Q4 · question page 2750

ENT.GROW.02 · Apply it: improve repeat sales

A loyalty card gives the 10th coffee free at 4 dollars. What is the discount spread over 10 coffees, per coffee?

Answer: B. 0.40 dollars

4 / 10 = 0.40.

- ✗ A. 40 dollars: multiplied
- ✗ C. 0.04 dollars: moved decimal
- ✗ D. 4.00 dollars: whole

Arithmetic checked by code: yes. Sources: none (stable)

S131-F1-Q5 · question page 2751

ENT.GROW.02 · Apply it: improve repeat sales

Customers say reordering requires creating a new account each time. What should change?

Answer: D. Make reordering easy

Reduce friction.

- ✗ A. Ignore the feedback: loses sales
- ✗ B. Add more steps: worse
- ✗ C. Remove the reorder option: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q1 · question page 2752

ENT.GROW.02 · Handle the complications: discounts and declining quality

Repeat sales fall after the owner switched to a cheaper supplier. What should she check?

Answer: B. Whether quality dropped

Quality drives retention.

- ✗ A. Only the logo: irrelevant
- ✗ C. Only competitors' ads: not first
- ✗ D. Nothing; price is all customers notice: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q2 · question page 2753

ENT.GROW.02 · Handle the complications: discounts and declining quality

A loyalty discount is so big that repeat orders barely break even. What should the owner do?

Answer: A. Adjust the reward so repeat orders stay profitable

Profitable loyalty.

- ✗ B. Increase the discount further to win more loyalty: worse
- ✗ C. Remove all contact with customers: worse

✗ D. Ignore the math: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q3 · question page 2754

ENT.GROW.02 · Handle the complications: discounts and declining quality

An email list sends daily promotions and many unsubscribe. What might help?

Answer: D. Fewer, more useful messages

Respect attention.

✗ A. Hiding the unsubscribe link: improper
✗ B. Buying a new list: no consent
✗ C. Even more daily emails: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S131-F2-Q4 · question page 2755

ENT.GROW.02 · Handle the complications: discounts and declining quality

Of 500 customers last quarter, 150 returned this quarter. What percent did not return?

Answer: C. 70 percent

350 / 500 = 0.7.

✗ A. 35 percent: miscalculated
✗ B. 150 percent: count
✗ D. 30 percent: returned

Arithmetic checked by code: yes. Sources: none (stable)

S131-F2-Q5 · question page 2756

ENT.GROW.02 · Handle the complications: discounts and declining quality

Which statement is accurate?

Answer: A. Repeat customers lower the effort and cost of growth.

Keep customers.

- ✗ B. New customers are always cheaper to get.: not usually
- ✗ C. Bigger discounts always build loyalty profitably.: not always
- ✗ D. Retention never matters for small shops.: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q1 · question page 2758

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

Which is a sign a business is ready to grow?

Answer: D. Steady demand it is turning away

Evidence of demand.

- ✗ A. A competitor growing quickly: not your evidence
- ✗ B. A friend saying it should grow: opinion
- ✗ C. One very good day last year: not steady

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q2 · question page 2759

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

What does growing in small steps mean?

Answer: C. Adding one helper, product or location and measuring

Measured steps.

- ✗ A. Never changing anything: no growth
- ✗ B. Doubling everything overnight: big leap
- ✗ D. Opening five locations at once with no testing: big leap

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q3 · question page 2760

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

What should happen if growth causes many late orders?

Answer: B. Slow down and fix the process

Protect quality.

- ✗ A. Grow even faster to catch up: worse
- ✗ C. Lower quality further: worse
- ✗ D. Ignore the complaints: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q4 · question page 2761

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

Which is NOT a sign of readiness?

Answer: C. Losing money on each sale

Negative unit economics.

- ✗ A. Steady unmet demand: sign
- ✗ B. Enough cash for the step: sign
- ✗ D. Reliable processes: sign

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-M-Q5 · question page 2762

ENT.GROW.03 · Grow in measured steps after evidence while protecting quality

Why can growing too fast hurt?

Answer: C. It can break what made the business work

Strain.

- ✗ A. Fast growth is always safe for small businesses: not always
- ✗ B. Customers prefer chaos: no

✗ D. Quality never changes: it can

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q1 · question page 2763

ENT.GROW.03 · Adding floors to a building

The foundation is like what in business?

Answer: B. Proven demand, processes and cash

What growth rests on.

✗ A. A competitor: no
✗ C. A new logo: no
✗ D. A big opening party for friends: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q2 · question page 2764

ENT.GROW.03 · Adding floors to a building

Adding a floor is like what?

Answer: D. A growth step

Expansion.

✗ A. A complaint: no
✗ B. A tax filing: no
✗ C. A refund: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q3 · question page 2765

ENT.GROW.03 · Adding floors to a building

What does the builder check first?

Answer: C. Whether the foundation can hold the floor

Readiness.

- ✗ A. The paint color: no
- ✗ B. The view from the new roof deck at night: no
- ✗ D. The neighbor's opinion: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q4 · question page 2766

ENT.GROW.03 · Adding floors to a building

What happens with a weak foundation?

Answer: C. The whole building is at risk

Fragile growth.

- ✗ A. Rent goes down: no
- ✗ B. It grows stronger with each floor: no
- ✗ D. Nothing at all: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-B1-Q5 · question page 2767

ENT.GROW.03 · Adding floors to a building

When is each floor added?

Answer: D. After the ones below are solid

Step by step.

- ✗ A. All at once, on the very first day: no
- ✗ B. Randomly: no
- ✗ C. Before planning: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F1-Q1 · question page 2768

ENT.GROW.03 · Apply it: decide on a growth step

A bakery turns away about 30 custom-cake orders a month, has positive contribution and 3 months of cash. Which step fits?

Answer: B. Hire one part-time baker and measure results

Measured step.

- ✗ A. Do nothing despite demand: missed
- ✗ C. Open three new shops at once across town: too big
- ✗ D. Cut quality to bake faster: harms brand

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F1-Q2 · question page 2769

ENT.GROW.03 · Apply it: decide on a growth step

Each custom cake brings 25 dollars of contribution. 30 extra cakes would bring how much a month?

Answer: C. 750 dollars

30 x 25 = 750.

- ✗ A. 55 dollars: added
- ✗ B. 25 dollars: one
- ✗ D. 300 dollars: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S132-F1-Q3 · question page 2770

ENT.GROW.03 · Apply it: decide on a growth step

Each custom cake brings 25 dollars of contribution. A part-time baker costing 600 dollars a month would allow 30 extra cakes. What is the net gain if all 30 are made?

Answer: D. 150 dollars

750 - 600 = 150.

✗ A. 600 dollars: cost

✗ B. 1,350 dollars: added

✗ C. 750 dollars: gross

Arithmetic checked by code: yes. Sources: none (stable)

S132-F1-Q4 · question page 2771

ENT.GROW.03 · Apply it: decide on a growth step

After hiring, late orders rise from 2 to 9 a month. What should the owner do?

Answer: A. Pause growth and fix training or scheduling

Protect quality.

✗ B. Raise prices to hide it: not a fix

✗ C. Ignore the late orders: harms trust

✗ D. Hire three more bakers immediately to catch up: more strain

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F1-Q5 · question page 2772

ENT.GROW.03 · Apply it: decide on a growth step

Which evidence is strongest before opening a second location?

Answer: C. A waiting list of customers near that area

Demand evidence.

✗ A. A cheap lease offer in that area, alone: not demand

✗ B. A cousin's encouragement: opinion

✗ D. A dream about expansion: no evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q1 · question page 2773

ENT.GROW.03 · Handle the complications: pressure to grow

An investor pushes the owner to open 5 stores this year, but the first store is barely profitable. What should she weigh?

Answer: D. Whether the first store's results support expansion

Evidence first.

- ✗ A. Only the store colors: irrelevant
- ✗ B. Nothing; growth is always right: not always
- ✗ C. Only the investor's excitement about growing fast: not evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q2 · question page 2774

ENT.GROW.03 · Handle the complications: pressure to grow

A big retailer offers a large order that would need all production for 3 months, stopping regular customers. What is the risk?

Answer: B. Losing regular customers and depending on one buyer

Concentration and quality risk.

- ✗ A. Regular customers never leave: they can
- ✗ C. No risk, because big orders are always good news: not always
- ✗ D. Production capacity is unlimited: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q3 · question page 2775

ENT.GROW.03 · Handle the complications: pressure to grow

A growth step costs 4,000 dollars and adds 500 dollars a month of contribution. How many months to recover the cost?

Answer: C. 8 months

4,000 / 500 = 8.

- ✗ A. 4 months: miscalculated

✗ B. 500 months: confused

✗ D. 12 months: guessed

Arithmetic checked by code: yes. Sources: none (stable)

S132-F2-Q4 · question page 2776

ENT.GROW.03 · Handle the complications: pressure to grow

Customer complaints doubled after growth. What is the lesson?

Answer: C. Growth strained quality and needs fixing

Listen to signals.

✗ A. Complaints are always fine: no

✗ B. Grow faster so complaints become a smaller share: worse

✗ D. Stop reading complaints: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S132-F2-Q5 · question page 2777

ENT.GROW.03 · Handle the complications: pressure to grow

Which statement is accurate?

Answer: A. Grow in steps after evidence; slow down if quality slips.

Careful growth.

✗ B. Bigger leaps are always safer.: riskier

✗ C. Quality does not matter during growth.: it does

✗ D. Evidence is unnecessary before deciding to grow.: needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q1 · question page 2779

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

What is burnout?

Answer: D. Exhaustion and mistakes from overwork

Overwork harm.

- ✗ A. A marketing strategy for fast growth: no
- ✗ B. A kitchen fire in the shop: pun
- ✗ C. A tax penalty for late filing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q2 · question page 2780

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Which is a warning sign?

Answer: A. More mistakes and constant tiredness

Act early.

- ✗ B. Feeling rested after time off: healthy
- ✗ C. Steady, kept schedules: healthy
- ✗ D. Enjoying most days of work and rest: healthy

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q3 · question page 2781

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Which choice supports a sustainable pace?

Answer: C. Protecting days off

Rest.

- ✗ A. Saying yes to every request: overload
- ✗ B. Never taking a break for months: unsustainable
- ✗ D. Answering messages at 3 a.m. every night: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q4 · question page 2782

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Demand exceeds capacity. Which option helps both income and pace?

Answer: A. Raising prices

Manage demand.

- ✗ B. Skipping sleep: harmful
- ✗ C. Working 20 hours a day: unsustainable
- ✗ D. Lowering prices to attract more work: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-M-Q5 · question page 2783

ENT.GROW.04 · Recognize burnout signs and plan a sustainable pace

Why is a burned-out owner a business risk?

Answer: B. Mistakes and poor decisions become more likely

Owner health matters.

- ✗ A. Customers prefer tired, overworked owners: no
- ✗ C. Burnout increases profit: no
- ✗ D. It has no effect: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q1 · question page 2784

ENT.GROW.04 · A phone battery

What recharges the owner?

Answer: D. Rest

Recovery.

✗ A. Skipping meals: drains

✗ B. More work without breaks: drains

✗ C. Late-night emails: drains

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q2 · question page 2785

ENT.GROW.04 · A phone battery

Running on 1 percent is like what?

Answer: C. Working while exhausted

Low energy.

✗ A. A vacation: opposite

✗ B. Being well rested and alert: opposite

✗ D. A day off: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q3 · question page 2786

ENT.GROW.04 · A phone battery

What happens if the phone is never charged?

Answer: D. It shuts off at a bad moment

Burnout.

✗ A. It works faster than before: no

✗ B. Nothing: no

✗ C. It charges itself: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q4 · question page 2787

ENT.GROW.04 · A phone battery

Is planned charging laziness?

Answer: B. No, it keeps things working

Maintenance.

- ✗ A. Only on weekends: no
- ✗ C. Only for big businesses: no
- ✗ D. Yes, always: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-B1-Q5 · question page 2788

ENT.GROW.04 · A phone battery

The owner is like what in the picture?

Answer: C. The phone battery

Energy source.

- ✗ A. The screen: no
- ✗ B. The charger cable: no
- ✗ D. The phone case: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F1-Q1 · question page 2789

ENT.GROW.04 · Apply it: rebalance a week

An owner works 70 hours a week and makes 4 order mistakes a week. Which change fits first?

Answer: B. Cut hours by declining poor-fit work or getting help

Reduce load.

- ✗ A. Stop sleeping to catch up: harmful
- ✗ C. Ignore the mistakes: harmful
- ✗ D. Add 10 more hours each week to fix the mistakes: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F1-Q2 · question page 2790

ENT.GROW.04 · Apply it: rebalance a week

She wants to cut from 70 to 50 hours a week. How many hours must be removed or delegated?

Answer: C. 20

70 - 50 = 20.

- ✗ A. 50: target
- ✗ B. 70: current
- ✗ D. 120: added

Arithmetic checked by code: yes. Sources: none (stable)

S133-F1-Q3 · question page 2791

ENT.GROW.04 · Apply it: rebalance a week

A price increase of 15 percent on 3,000 dollars of weekly sales with 10 percent fewer jobs. Assuming revenue scales with jobs, what is the new weekly revenue?

Answer: B. 3,105 dollars

3,000 x 1.15 x 0.90 = 3,105.

- ✗ A. 3,450 dollars: no fewer jobs
- ✗ C. 2,700 dollars: no price rise
- ✗ D. 3,000 dollars: unchanged

Arithmetic checked by code: yes. Sources: none (stable)

S133-F1-Q4 · question page 2792

ENT.GROW.04 · Apply it: rebalance a week

Which boundary is realistic for a solo owner?

Answer: A. "Messages answered 9 a.m. to 6 p.m. on weekdays."

Clear hours.

- ✗ B. "I never reply to anyone.": harmful
- ✗ C. "I reply instantly at any hour, every day.": unsustainable
- ✗ D. "Replies whenever I remember.": unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F1-Q5 · question page 2793

ENT.GROW.04 · Apply it: rebalance a week

A client always demands rush work at night for normal prices. What is a reasonable step?

Answer: A. Set rush fees or decline poor-fit requests

Protect time.

- ✗ B. Work every night forever: burnout
- ✗ C. Ignore the client entirely: harsh
- ✗ D. Always accept the rush work for free: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q1 · question page 2794

ENT.GROW.04 · Handle the complications: guilt and growth

An owner feels guilty taking a day off. What perspective helps?

Answer: C. Rest prevents mistakes and keeps the business running

Rest is maintenance.

- ✗ A. Guilt proves she is right: no
- ✗ B. Days off always harm a small business and its customers: not true
- ✗ D. Rest is only for employees: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q2 · question page 2795

ENT.GROW.04 · Handle the complications: guilt and growth

Burnout signs appear during a growth push. What should she do?

Answer: D. Slow the push and add support before continuing

Act early.

- ✗ A. Quit without a plan: drastic
- ✗ B. Hide the signs from everyone: harmful
- ✗ C. Push harder to finish the growth push faster: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q3 · question page 2796

ENT.GROW.04 · Handle the complications: guilt and growth

A helper costs 400 dollars a month and frees 25 hours. What is the cost per freed hour?

Answer: A. 16 dollars

400 / 25 = 16.

- ✗ B. 25 dollars: hours
- ✗ C. 10,000 dollars: multiplied
- ✗ D. 400 dollars: total

Arithmetic checked by code: yes. Sources: none (stable)

S133-F2-Q4 · question page 2797

ENT.GROW.04 · Handle the complications: guilt and growth

An owner says, "I'll rest after the business succeeds." What is the risk?

Answer: B. Burnout may arrive before success does

Sustainable now.

- ✗ A. Rest is never needed: it is
- ✗ C. No risk; success always comes first: not guaranteed

✗ D. Success removes all stress: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S133-F2-Q5 · question page 2798

ENT.GROW.04 · Handle the complications: guilt and growth

Which statement is accurate?

Answer: C. A sustainable pace protects the owner and the business.

Pace matters.

✗ A. Longer hours always mean more success for owners.: not always
✗ B. Burnout only affects big companies.: not true
✗ D. Warning signs should be ignored.: harmful

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q1 · question page 2800

ENT.GROW.05 · Close or pause a business responsibly

What should happen to prepaid orders when closing?

Answer: D. Fulfill them or refund the customers

Honor obligations.

✗ A. Ship empty boxes to close the orders: dishonest
✗ B. Keep the money and say nothing to anyone: improper
✗ C. Ask customers to forget the orders: improper

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q2 · question page 2801

ENT.GROW.05 · Close or pause a business responsibly

What is dissolution?

Answer: A. The state filing that formally ends an LLC or corporation

Formal ending.

- ✗ B. Mixing a drink with water: pun
- ✗ C. A new business license: no
- ✗ D. A sale of all remaining inventory at a big discount: not the term

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q3 · question page 2802

ENT.GROW.05 · Close or pause a business responsibly

Which step belongs in winding down?

Answer: B. Filing final tax returns

Close properly.

- ✗ A. Opening new subscriptions: opposite
- ✗ C. Ignoring supplier bills: improper
- ✗ D. Deleting all records immediately: keep records

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q4 · question page 2803

ENT.GROW.05 · Close or pause a business responsibly

Why keep records after closing?

Answer: D. They may be needed for the required period

Retention rules.

- ✗ A. To restart secretly: no
- ✗ B. Because records are profitable: no
- ✗ C. Records are never needed after closing: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-M-Q5 · question page 2804

ENT.GROW.05 · Close or pause a business responsibly

Why does closing well matter?

Answer: C. It protects reputation and future options

Integrity.

- ✗ A. It has no benefits: it does
- ✗ B. It guarantees a refund from the state: no
- ✗ D. It cancels all debts automatically: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q1 · question page 2805

ENT.GROW.05 · Moving out of an apartment the right way

Giving notice is like what in a business?

Answer: B. Telling customers and suppliers

Communication.

- ✗ A. Raising prices: no
- ✗ C. Opening a new store: no
- ✗ D. Hiding the closure from everyone: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q2 · question page 2806

ENT.GROW.05 · Moving out of an apartment the right way

Paying the last rent is like what?

Answer: B. Paying what the business owes

Settling debts.

- ✗ A. Ignoring the final bills that arrive: no
- ✗ C. A refund to yourself: no

✗ D. Buying inventory: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q3 · question page 2807

ENT.GROW.05 · Moving out of an apartment the right way

Returning the keys is like what?

Answer: B. Cancelling licenses and accounts

Closing access.

✗ A. Selling keys: no
✗ C. Making copies: no
✗ D. Keeping every account open just in case: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q4 · question page 2808

ENT.GROW.05 · Moving out of an apartment the right way

What happens if you just disappear?

Answer: A. Others are stuck and future options suffer

Consequences.

✗ B. Nothing happens: no
✗ C. Rent becomes free for everyone involved: no
✗ D. You get a bonus: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-B1-Q5 · question page 2809

ENT.GROW.05 · Moving out of an apartment the right way

Forwarding your mail is like what?

Answer: C. Making sure final notices still reach you

Stay reachable.

- ✗ A. Throwing mail away: no
- ✗ B. Ignoring mail: no
- ✗ D. Changing your name to avoid the mail: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F1-Q1 · question page 2810

ENT.GROW.05 · Apply it: plan a closure

A shop closing has 12 prepaid orders it cannot fulfill, averaging 45 dollars. How much must be refunded?

Answer: C. 540 dollars

12 x 45 = 540.

- ✗ A. 57 dollars: added
- ✗ B. 450 dollars: 10 orders
- ✗ D. 45 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S134-F1-Q2 · question page 2811

ENT.GROW.05 · Apply it: plan a closure

Which closing message to customers is best?

Answer: D. "Closing June 30. Orders ship by June 20; others get refunds."

Clear and honest.

- ✗ A. "Closed. Good luck.": unclear
- ✗ B. "We may be back, maybe, eventually.": vague
- ✗ C. No message at all; the website just quietly goes offline: silence

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F1-Q3 · question page 2812

ENT.GROW.05 · Apply it: plan a closure

The business is an LLC. What state step is often needed?

Answer: A. Filing dissolution papers

Formal ending.

- ✗ B. Applying for a new EIN: unrelated
- ✗ C. Registering a new trademark: unrelated
- ✗ D. Nothing at all: often needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F1-Q4 · question page 2813

ENT.GROW.05 · Apply it: plan a closure

Subscriptions cost 18, 25 and 40 dollars a month. If not cancelled, what would they cost over 6 months?

Answer: C. 498 dollars

(18 + 25 + 40) x 6 = 498.

- ✗ A. 83 dollars: one month
- ✗ B. 996 dollars: 12 months
- ✗ D. 415 dollars: 5 months

Arithmetic checked by code: yes. Sources: none (stable)

S134-F1-Q5 · question page 2814

ENT.GROW.05 · Apply it: plan a closure

Cash is 2,000 dollars and supplier bills are 2,600 dollars. What is a responsible step?

Answer: B. Contact suppliers about a payment plan

Communicate.

- ✗ A. Spend the cash on new inventory: worse

✗ C. Ignore the bills: improper

✗ D. Pay one supplier and hide from others: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q1 · question page 2815

ENT.GROW.05 · Handle the complications: pausing and personal liability

An owner wants to pause for a year, not close. What should she check?

Answer: D. Which filings and fees continue while paused

Ongoing obligations.

✗ A. Only the logo: irrelevant

✗ B. Nothing; paused businesses have no duties: may continue

✗ C. Only her email signature: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q2 · question page 2816

ENT.GROW.05 · Handle the complications: pausing and personal liability

A sole proprietor closes with unpaid business debts. What should she understand?

Answer: B. She may still be personally responsible

Personal liability.

✗ A. All debts vanish when she closes: not true

✗ C. Suppliers cannot ask for payment: they can

✗ D. Closing the business cancels any taxes owed: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q3 · question page 2817

ENT.GROW.05 · Handle the complications: pausing and personal liability

An owner deletes all records the day she closes. What problem could arise?

Answer: A. She may need them for taxes or questions later

Keep records.

- ✗ B. None; records are useless after closing: not true
- ✗ C. It speeds up refunds: no
- ✗ D. It is required by law: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q4 · question page 2818

ENT.GROW.05 · Handle the complications: pausing and personal liability

Final payroll, taxes and reports are due. Who can help with complex final filings?

Answer: A. An accountant or tax professional

Professional help.

- ✗ B. A customer: not qualified
- ✗ C. Nobody; skip them: risky
- ✗ D. A random forum post about taxes: unreliable

Arithmetic checked by code: not applicable. Sources: none (stable)

S134-F2-Q5 · question page 2819

ENT.GROW.05 · Handle the complications: pausing and personal liability

Which statement is accurate?

Answer: D. Closing well means honoring orders, paying debts and filing.

Responsible closure.

- ✗ A. Customers do not need notice.: they do
- ✗ B. Closing a business cancels all of its obligations at once.: not true
- ✗ C. Records can be deleted immediately.: keep them

Arithmetic checked by code: not applicable. Sources: none (stable)

S135-M-Q1 · question page 2821

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

According to the passage, what did Wrigley first sell in Chicago?

Answer: B. Soap

He started with soap.

- ✗ A. Candy bars and chocolate: not stated
- ✗ C. Chewing gum from the very start: came later
- ✗ D. Newspapers and magazines: not stated

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q2 · question page 2822

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

What was a premium in this story?

Answer: A. A free extra given with a purchase

An extra.

- ✗ B. A tax on gum: no
- ✗ C. A higher price for luxury buyers: different meaning
- ✗ D. An insurance payment: different meaning

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q3 · question page 2823

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

Why did he switch from soap to baking powder?

Answer: C. Baking powder proved more popular

Customer preference.

✗ A. Soap became illegal to sell: not stated

✗ B. A competitor forced him: not stated

✗ D. Baking powder was free to make: not stated

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q4 · question page 2824

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

Which lesson does this course draw?

Answer: D. Watch what customers prefer and be willing to change

Follow evidence.

✗ A. Ignore which extras customers like: opposite

✗ B. Give away your main product for free forever: not the lesson

✗ C. Never change your first product: opposite

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-M-Q5 · question page 2825

ENT.CASE.09 · Apply a documented early decision: follow what customers actually choose

What does the passage say about the exact years?

Answer: A. They differ between sources

Uncertainty noted.

✗ B. They are certain and agreed everywhere: not stated

✗ C. They were all in 1891: not stated

✗ D. They are secret: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q1 · question page 2826

ENT.CASE.09 · Following what people actually pick

What did people keep asking for at the bake sale?

Answer: B. The lemonade extra

The extra was preferred.

- ✗ A. The cookies only: not the point
- ✗ C. Nothing at all: no
- ✗ D. The table: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q2 · question page 2827

ENT.CASE.09 · Following what people actually pick

What do you do next time?

Answer: C. Bring more lemonade

Follow demand.

- ✗ A. Hide the lemonade: no
- ✗ B. Bring nothing: no
- ✗ D. Bring only cookies again: ignores evidence

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q3 · question page 2828

ENT.CASE.09 · Following what people actually pick

"Wrigley switched to baking powder" is which kind of statement?

Answer: A. Documented fact

Recorded.

- ✗ B. Course interpretation: documented
- ✗ C. A promise: no
- ✗ D. A rumor: sourced

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q4 · question page 2829

ENT.CASE.09 · Following what people actually pick

"Follow what customers choose" is which kind?

Answer: C. The course's interpretation

Lesson drawn.

- ✗ A. A documented quote from Wrigley: no
- ✗ B. A tax rule: no
- ✗ D. A law: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-B1-Q5 · question page 2830

ENT.CASE.09 · Following what people actually pick

What matters more than your plan?

Answer: B. What people actually choose

Evidence.

- ✗ A. Your first idea, always: no
- ✗ C. Your table color: no
- ✗ D. Your logo: no

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F1-Q1 · question page 2831

ENT.CASE.09 · Apply it: notice the product customers prefer

A candle shop gives a small free wax melt with each candle. Customers keep asking to buy the melts. What fits the lesson?

Answer: D. Test selling melts as a main product

Follow demand.

- ✗ A. Raise candle prices only: ignores melts
- ✗ B. Stop giving melts so people focus on candles: ignores evidence
- ✗ C. Ignore the requests: ignores evidence

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F1-Q2 · question page 2832

ENT.CASE.09 · Apply it: notice the product customers prefer

Last month: 120 candles sold and 300 people asked about melts. What is the ratio of melt requests to candle sales?

Answer: A. 2.5 to 1

300 / 120 = 2.5.

- ✗ B. 420 to 1: added
- ✗ C. 180 to 1: difference
- ✗ D. 1 to 2.5: reversed

Arithmetic checked by code: yes. Sources: case_wrigley

S135-F1-Q3 · question page 2833

ENT.CASE.09 · Apply it: notice the product customers prefer

Melts cost 1 dollar to make and could sell for 4 dollars. What is the contribution per melt?

Answer: B. 3 dollars

4 - 1 = 3.

- ✗ A. 5 dollars: added
- ✗ C. 4 dollars: price
- ✗ D. 1 dollar: cost

Arithmetic checked by code: yes. Sources: case_wrigley

S135-F1-Q4 · question page 2834

ENT.CASE.09 · Apply it: notice the product customers prefer

Before switching fully, what should the owner do?

Answer: C. Run a small test sale of melts and measure

Test first.

- ✗ A. Ask only her family: biased
- ✗ B. Close the candle line immediately and switch: premature
- ✗ D. Order 10,000 melts at once: risky

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F1-Q5 · question page 2835

ENT.CASE.09 · Apply it: notice the product customers prefer

Which detail is documented, not interpreted?

Answer: A. Wrigley offered baking powder as a premium with soap

Recorded fact.

- ✗ B. Following customer evidence always guarantees success: interpretation
- ✗ C. Gum is always the best product: not documented
- ✗ D. Every switch makes money: not documented

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q1 · question page 2836

ENT.CASE.09 · Handle the complications: chasing every request

Three customers ask for very different products. What should the owner do?

Answer: D. Look for patterns across many customers before changing

Patterns, not one-offs.

- ✗ A. Ask only one customer: too few
- ✗ B. Switch products for each individual customer request: chasing noise

✗ C. Ignore all customers forever: misses evidence

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q2 · question page 2837

ENT.CASE.09 · Handle the complications: chasing every request

The new product is popular but earns less contribution than the old one. What should the owner weigh?

Answer: B. Total contribution, not just popularity

Look at the money.

✗ A. Only the logo: irrelevant
✗ C. Nothing; popular means profitable: not always
✗ D. Only popularity: incomplete

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q3 · question page 2838

ENT.CASE.09 · Handle the complications: chasing every request

Someone says, "Wrigley switched products, so I should change mine every month." What is wrong?

Answer: B. Follow clear evidence; do not change constantly

Evidence-based change.

✗ A. Nothing, because constant change always works for businesses: not true
✗ C. Changes are illegal: no
✗ D. Wrigley never switched: he did

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S135-F2-Q4 · question page 2839

ENT.CASE.09 · Handle the complications: chasing every request

Free extras cost 0.50 dollars each across 400 sales. What do the extras cost in total?

Answer: D. 200 dollars

400 x 0.50 = 200.

- ✗ A. 400 dollars: count
- ✗ B. 800 dollars: doubled
- ✗ C. 0.50 dollars: one

Arithmetic checked by code: yes. Sources: case_wrigley

S135-F2-Q5 · question page 2840

ENT.CASE.09 · Handle the complications: chasing every request

Which statement is accurate?

Answer: C. The case suggests following evidence; test your own market.

Test and adapt.

- ✗ A. Original plans should never change.: opposite
- ✗ B. Free premiums always cause a business to succeed.: not true
- ✗ D. Gum is the right product for every new business owner.: not true

Arithmetic checked by code: not applicable. Sources: case_wrigley

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S136-M-Q1 · question page 2842

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

Which time should be included in an estimate?

Answer: D. All of it: setup, travel, cleanup, messages and the work

All time.

- ✗ A. Only the minutes spent doing the main task itself: misses hidden time
- ✗ B. Only travel, since the work is the easy part: misses work
- ✗ C. Only the time the customer can see you working: misses hidden time

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-M-Q2 · question page 2843

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

5 hours at 40 dollars plus 50 dollars of materials. What is the subtotal?

Answer: D. 250 dollars

5 x 40 + 50 = 250.

- ✗ A. 2,050 dollars: multiplied wrongly
- ✗ B. 200 dollars: no materials
- ✗ C. 95 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S136-M-Q3 · question page 2844

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

Add 10 percent contingency to 250 dollars. What is the estimate?

Answer: A. 275 dollars

250 x 1.10 = 275.

- ✗ B. 250 dollars: no contingency
- ✗ C. 260 dollars: added 10 dollars
- ✗ D. 25 dollars: contingency only

Arithmetic checked by code: yes. Sources: none (stable)

S136-M-Q4 · question page 2845

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

Why compare actual time with the estimate afterward?

Answer: B. To improve future estimates

Learn and adjust.

✗ A. Because estimates never matter: they do

✗ C. To charge the customer extra secretly: improper

✗ D. To delete old records: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-M-Q5 · question page 2846

ENT.SVC.01 · Build a service estimate from time, rate, materials and contingency

What is contingency in an estimate?

Answer: D. A small extra amount for surprises

Buffer.

✗ A. A separate fee charged for travel only: part of time

✗ B. The materials cost: separate

✗ C. The customer's tip: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-B1-Q1 · question page 2847

ENT.SVC.01 · Hours times rate plus extras

4 hours at 35 dollars. What is the labor cost?

Answer: A. 140

4 x 35 = 140.

✗ B. 8.75: divided

✗ C. 35: rate

✗ D. 39: added

Arithmetic checked by code: yes. Sources: none (stable)

S136-B1-Q2 · question page 2848

ENT.SVC.01 · Hours times rate plus extras

Labor 140 plus materials 40. What is the subtotal?

Answer: C. 180

140 + 40 = 180.

- ✗ A. 140: labor only
- ✗ B. 100: subtracted
- ✗ D. 5,600: multiplied

Arithmetic checked by code: yes. Sources: none (stable)

S136-B1-Q3 · question page 2849

ENT.SVC.01 · Hours times rate plus extras

180 plus 10 percent. What is the total?

Answer: A. 198

180 x 1.10 = 198.

- ✗ B. 180: none
- ✗ C. 190: added 10
- ✗ D. 18: percent only

Arithmetic checked by code: yes. Sources: none (stable)

S136-B1-Q4 · question page 2850

ENT.SVC.01 · Hours times rate plus extras

Which order is correct?

Answer: D. Labor, then add materials, then add the percent

Order matters.

- ✗ A. Add hours to rate: wrong
- ✗ B. Materials times rate: wrong
- ✗ C. Percent first, then labor, then materials last: wrong

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-B1-Q5 · question page 2851

ENT.SVC.01 · Hours times rate plus extras

2.5 hours at 60 dollars. What is the labor cost?

Answer: B. 150

2.5 x 60 = 150.

- ✗ A. 62.5: added
- ✗ C. 120: 2 hours
- ✗ D. 24: divided

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q1 · question page 2852

ENT.SVC.01 · Apply it: estimate real jobs

A painter estimates 7 hours of painting, 1 hour of setup, 1 hour of cleanup and 1 hour of travel at 45 dollars, plus 120 dollars of paint. What is the subtotal before contingency?

Answer: C. 570 dollars

10 x 45 + 120 = 570.

- ✗ A. 165 dollars: added rate
- ✗ B. 450 dollars: labor only
- ✗ D. 435 dollars: painting only

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q2 · question page 2853

ENT.SVC.01 · Apply it: estimate real jobs

A painter's estimate subtotal is 570 dollars. With 10 percent contingency, what is the estimate?

Answer: A. 627 dollars

570 x 1.10 = 627.

- ✗ B. 57 dollars: contingency only
- ✗ C. 570 dollars: none
- ✗ D. 580 dollars: added 10

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q3 · question page 2854

ENT.SVC.01 · Apply it: estimate real jobs

The job actually took 12 hours instead of 10. What is the labor overrun at 45 dollars an hour?

Answer: C. 90 dollars

2 x 45 = 90.

- ✗ A. 45 dollars: one hour
- ✗ B. 540 dollars: all hours
- ✗ D. 2 dollars: hours

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q4 · question page 2855

ENT.SVC.01 · Apply it: estimate real jobs

The estimate included a 57-dollar contingency, and the labor overrun was 90 dollars. Did the contingency cover the overrun?

Answer: D. No, it fell 33 dollars short

90 - 57 = 33.

- ✗ A. Yes, exactly: no
- ✗ B. Cannot tell: can
- ✗ C. Yes, with 33 dollars to spare: reversed

Arithmetic checked by code: yes. Sources: none (stable)

S136-F1-Q5 · question page 2856

ENT.SVC.01 · Apply it: estimate real jobs

What should the painter do on future similar jobs?

Answer: D. Estimate more time for this kind of job

Adjust.

- ✗ A. Keep the same estimate for the next job: ignores data
- ✗ B. Stop tracking time: no learning
- ✗ C. Remove the contingency: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q1 · question page 2857

ENT.SVC.01 · Handle the complications: unknowns and pressure

A job has unknowns, such as hidden water damage. What is a fair way to estimate?

Answer: D. Give a range and explain what could change it

Ranges with assumptions.

- ✗ A. Promise no changes to the price no matter what: risky
- ✗ B. Give one low number and hope: risky
- ✗ C. Refuse to estimate any job: loses work

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q2 · question page 2858

ENT.SVC.01 · Handle the complications: unknowns and pressure

A client says another provider quoted much lower. What should the owner check first?

Answer: C. Whether the other quote includes the same work

Compare scope.

- ✗ A. Only the other provider's logo: irrelevant
- ✗ B. Only how friendly the client is: not enough

✗ D. Nothing, because she should match the lower quote instantly: may lose money

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q3 · question page 2859

ENT.SVC.01 · Handle the complications: unknowns and pressure

Over 5 jobs, actual hours were 10 percent above estimates on average. Next job estimates 20 hours. What adjusted estimate fits?

Answer: C. 22 hours

20 x 1.10 = 22.

✗ A. 30 hours: added 10 hours
✗ B. 18 hours: wrong direction
✗ D. 20 hours: unadjusted

Arithmetic checked by code: yes. Sources: none (stable)

S136-F2-Q4 · question page 2860

ENT.SVC.01 · Handle the complications: unknowns and pressure

An owner never counts travel time in estimates. What happens over many jobs?

Answer: B. She works many unpaid hours

Hidden time adds up.

✗ A. Her rate rises automatically: no
✗ C. Nothing at all: hidden cost
✗ D. Customers pay extra anyway: not if unbilled

Arithmetic checked by code: not applicable. Sources: none (stable)

S136-F2-Q5 · question page 2861

ENT.SVC.01 · Handle the complications: unknowns and pressure

Which statement is accurate?

Answer: D. Good estimates include all time, materials and a buffer.

Complete and learning.

- ✗ A. Contingency is dishonest.: not true
- ✗ B. Estimates never need adjusting.: they do
- ✗ C. Estimates should only count the visible work done on site.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q1 · question page 2863

ENT.SVC.02 · Calculate daily appointment capacity including travel

A day has 8 hours. Each appointment is 1 hour plus 30 minutes of travel. How many full appointments fit?

Answer: A. 5

8 / 1.5 = 5.33, so 5.

- ✗ B. 6: rounded up
- ✗ C. 8: ignored travel
- ✗ D. 4: too few

Arithmetic checked by code: yes. Sources: none (stable)

S137-M-Q2 · question page 2864

ENT.SVC.02 · Calculate daily appointment capacity including travel

What is routing?

Answer: B. Grouping clients by area to reduce travel

Efficient travel.

- ✗ A. A computer network for the office: pun
- ✗ C. Cancelling clients who live far away: no
- ✗ D. Charging more for far-away clients only: different

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q3 · question page 2865

ENT.SVC.02 · Calculate daily appointment capacity including travel

Why include a buffer?

Answer: D. To handle delays without making later clients wait

Absorb delays.

- ✗ A. To take more appointments: opposite
- ✗ B. Because buffers are required by law for services: no
- ✗ C. To charge for unused time: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q4 · question page 2866

ENT.SVC.02 · Calculate daily appointment capacity including travel

What wastes capacity?

Answer: B. No-shows and late cancellations

Lost slots.

- ✗ A. Accurate scheduling: no
- ✗ C. Clients who arrive on time: no
- ✗ D. Grouping by area: helps

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-M-Q5 · question page 2867

ENT.SVC.02 · Calculate daily appointment capacity including travel

Cutting travel from 30 to 15 minutes per appointment in an 8-hour day with 1-hour appointments allows how many?

Answer: A. 6

8 / 1.25 = 6.4, so 6.

✗ B. 7: rounded up

✗ C. 8: no travel

✗ D. 5: old

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q1 · question page 2868

ENT.SVC.02 · Dividing the day into slots

45 minutes is how many hours?

Answer: D. 0.75

45 / 60 = 0.75.

✗ A. 1.5: no

✗ B. 0.45: not converted

✗ C. 0.25: no

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q2 · question page 2869

ENT.SVC.02 · Dividing the day into slots

6 hours / 1.5 hours per slot. How many slots?

Answer: C. 4

6 / 1.5 = 4.

✗ A. 9: multiplied

✗ B. 7.5: added

✗ D. 4.5: not whole

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q3 · question page 2870

ENT.SVC.02 · Dividing the day into slots

7 hours / 1.25 hours, rounded down?

Answer: B. 5

7 / 1.25 = 5.6, so 5.

- ✗ A. 8.75: multiplied
- ✗ C. 5.6: not rounded
- ✗ D. 6: rounded up

Arithmetic checked by code: yes. Sources: none (stable)

S137-B1-Q4 · question page 2871

ENT.SVC.02 · Dividing the day into slots

Why round down?

Answer: B. A partial appointment cannot be sold

Whole slots only.

- ✗ A. Hours are fake: no
- ✗ C. It does not matter: it does
- ✗ D. Rounding up is always better for the owner: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-B1-Q5 · question page 2872

ENT.SVC.02 · Dividing the day into slots

1 hour plus 15 minutes travel is how many hours?

Answer: C. 1.25

1 + 0.25 = 1.25.

- ✗ A. 0.75: subtracted
- ✗ B. 1.15: not converted
- ✗ D. 16: added minutes

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q1 · question page 2873

ENT.SVC.02 · Apply it: plan a mobile service day

A mobile groomer works 9 hours. Each groom is 1.5 hours with 30 minutes of driving. How many grooms fit?

Answer: A. 4

9 / 2 = 4.5, so 4.

- ✗ B. 5: rounded up
- ✗ C. 6: ignored driving
- ✗ D. 3: too few

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q2 · question page 2874

ENT.SVC.02 · Apply it: plan a mobile service day

Routing cuts driving to 15 minutes each. How many grooms fit now?

Answer: B. 5

9 / 1.75 = 5.14, so 5.

- ✗ A. 4: old
- ✗ C. 6: ignored driving
- ✗ D. 7: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q3 · question page 2875

ENT.SVC.02 · Apply it: plan a mobile service day

A mobile groomer works 9 hours a day; each groom takes 1.5 hours. Routing cuts driving between grooms from 30 to 15 minutes, so grooms rise from 4 to 5 a day. Each groom earns 70 dollars. How much more per day does routing allow?

Answer: D. 70 dollars

5 x 70 - 4 x 70 = 70.

- ✗ A. 350 dollars: new total
- ✗ B. 280 dollars: old total
- ✗ C. 140 dollars: two grooms

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q4 · question page 2876

ENT.SVC.02 · Apply it: plan a mobile service day

Two no-shows a week at 70 dollars each cost how much over 4 weeks?

Answer: C. 560 dollars

2 x 70 x 4 = 560.

- ✗ A. 140 dollars: one week
- ✗ B. 280 dollars: two weeks
- ✗ D. 70 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S137-F1-Q5 · question page 2877

ENT.SVC.02 · Apply it: plan a mobile service day

Which policy helps reduce no-shows?

Answer: A. Reminder messages and a deposit for bookings

Reduce waste.

- ✗ B. Booking clients across the whole state each day: more travel
- ✗ C. Removing the cancellation policy: worse
- ✗ D. No reminders at all: more no-shows

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q1 · question page 2878

ENT.SVC.02 · Handle the complications: overbooking and long days

An owner books 6 appointments in a day that fits 4 with travel. What is the likely result?

Answer: C. Late arrivals and rushed work

Overbooking hurts.

- ✗ A. Everything goes perfectly on time: unlikely
- ✗ B. More free time: no
- ✗ D. Lower costs: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q2 · question page 2879

ENT.SVC.02 · Handle the complications: overbooking and long days

Clients across town request the same day. What helps?

Answer: C. Assign days to areas so routes stay short

Area days.

- ✗ A. Refuse all far clients forever: loses work
- ✗ B. Drive back and forth across town all day: wasteful
- ✗ D. Charge nothing for travel: loses money

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q3 · question page 2880

ENT.SVC.02 · Handle the complications: overbooking and long days

A 10-hour day fits 5 appointments at 2 hours each with no buffer. Adding a 20-minute buffer to each, how many fit?

Answer: A. 4

10 / 2.33 = 4.29, so 4.

✗ B. 5: ignored buffer

✗ C. 6: miscalculated

✗ D. 3: too few

Arithmetic checked by code: yes. Sources: none (stable)

S137-F2-Q4 · question page 2881

ENT.SVC.02 · Handle the complications: overbooking and long days

Fewer appointments with buffers earn less per day. What can offset that?

Answer: B. Fewer delays, happier clients and fewer cancellations

Reliability has value.

✗ A. Nothing, because buffers are always wasted time: not always

✗ C. Lower prices: worse

✗ D. Skipping lunch daily: unsustainable

Arithmetic checked by code: not applicable. Sources: none (stable)

S137-F2-Q5 · question page 2882

ENT.SVC.02 · Handle the complications: overbooking and long days

Which statement is accurate?

Answer: D. Capacity depends on length, travel and buffers.

Plan the day.

✗ A. More bookings always mean more income, even if overbooked.: not if overbooked

✗ B. Buffers are never useful.: they are

✗ C. Travel time does not affect capacity.: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q1 · question page 2884

ENT.SVC.03 · Define service scope, extras and deposits in writing

Which scope statement is clearest?

Answer: D. "Deep clean of kitchen and 2 bathrooms; windows extra"

Specific and excludes extras.

- ✗ A. "Cleaning, more or less": vague
- ✗ B. "Clean the house nicely": vague
- ✗ C. "Do whatever needs doing around the whole house": unlimited

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q2 · question page 2885

ENT.SVC.03 · Define service scope, extras and deposits in writing

Why take a deposit for a reserved date?

Answer: B. It protects the business if the client cancels

Commitment.

- ✗ A. It is always fully refundable by law in every case: not always
- ✗ C. It is a tip for good service: no
- ✗ D. It replaces the final payment: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q3 · question page 2886

ENT.SVC.03 · Define service scope, extras and deposits in writing

What should be stated about a deposit?

Answer: C. Whether it is refundable

Terms.

- ✗ A. Nothing at all: needed
- ✗ B. Only its color: irrelevant
- ✗ D. Only the owner's name: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q4 · question page 2887

ENT.SVC.03 · Define service scope, extras and deposits in writing

A client asks for an extra room during the job. What should happen first?

Answer: C. Confirm the extra and its price in writing

Agree first.

- ✗ A. Refuse to discuss it: inflexible
- ✗ B. Do it free without mention: scope creep
- ✗ D. Add it to the final bill later as a surprise: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-M-Q5 · question page 2888

ENT.SVC.03 · Define service scope, extras and deposits in writing

How many revisions does a scope usually need to state?

Answer: B. How many are included in the price

Limits.

- ✗ A. Unlimited revisions, always, for any price: creep
- ✗ C. It never matters: it does
- ✗ D. None are ever allowed: too rigid

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q1 · question page 2889

ENT.SVC.03 · A haircut menu

"Coloring extra" is like what in a scope?

Answer: D. An excluded item that costs more

Extras.

✗ A. A tip: no

✗ B. An item already included in the price: no

✗ C. A tax: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q2 · question page 2890

ENT.SVC.03 · A haircut menu

"One free touch-up within 7 days" is like what?

Answer: C. A stated limit on included revisions

Limits.

✗ A. A discount code: no

✗ B. A cancellation fee for no-shows: no

✗ D. Unlimited free work: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q3 · question page 2891

ENT.SVC.03 · A haircut menu

Adding coloring without asking is like what?

Answer: D. Doing extra work without agreement

Needs agreement.

✗ A. A deposit: no

✗ B. A refund: no

✗ C. A normal service that is included: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q4 · question page 2892

ENT.SVC.03 · A haircut menu

Why do you know what you get?

Answer: B. The menu lists it clearly

Clarity.

- ✗ A. Prices are hidden: no
- ✗ C. You read minds: no
- ✗ D. The salon guesses what you want: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-B1-Q5 · question page 2893

ENT.SVC.03 · A haircut menu

A service scope is like what for one job?

Answer: C. The menu

A written list.

- ✗ A. The mirror: no
- ✗ B. The chair: no
- ✗ D. The parking lot: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F1-Q1 · question page 2894

ENT.SVC.03 · Apply it: write scope and deposit terms

A photographer books a 4-hour wedding for 1,600 dollars with a 25 percent nonrefundable deposit. What is the deposit?

Answer: A. 400 dollars

0.25 x 1,600 = 400.

- ✗ B. 1,600 dollars: all
- ✗ C. 1,200 dollars: balance
- ✗ D. 25 dollars: percent as dollars

Arithmetic checked by code: yes. Sources: none (stable)

S138-F1-Q2 · question page 2895

ENT.SVC.03 · Apply it: write scope and deposit terms

Extra hours cost 300 dollars each. The client asks for 1.5 extra hours. What is the extra charge?

Answer: D. 450 dollars

1.5 x 300 = 450.

- ✗ A. 600 dollars: two hours
- ✗ B. 300 dollars: one hour
- ✗ C. 301.5 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S138-F1-Q3 · question page 2896

ENT.SVC.03 · Apply it: write scope and deposit terms

Which scope line prevents a common dispute?

Answer: C. "Includes 200 edited photos delivered within 3 weeks"

Numbers and timing.

- ✗ A. "Photos as needed": vague
- ✗ B. "Some pictures, we will see": vague
- ✗ D. "Includes lots of photos, delivered eventually": vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F1-Q4 · question page 2897

ENT.SVC.03 · Apply it: write scope and deposit terms

The client cancels 2 months before. The deposit is nonrefundable as agreed. What should happen?

Answer: C. Keep the deposit as the signed terms say

Follow terms.

- ✗ A. Charge the full 1,600 dollars: not agreed
- ✗ B. Ignore the client: poor service
- ✗ D. Refund it secretly and also charge more: contradictory

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F1-Q5 · question page 2898

ENT.SVC.03 · Apply it: write scope and deposit terms

A cleaner's scope says "kitchen and 2 bathrooms." The client asks for the garage. What should she do?

Answer: A. Offer the garage as a priced extra

Price extras.

- ✗ B. Clean it and surprise-bill double: unfair
- ✗ C. Clean it free and say nothing: creep
- ✗ D. Refuse to speak about it: unhelpful

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q1 · question page 2899

ENT.SVC.03 · Handle the complications: disputes over what was included

A client insists windows were included, but the written scope says they were extra. What helps resolve it?

Answer: C. Pointing calmly to the written scope

Written terms.

- ✗ A. Doing the windows free to avoid talking: sets precedent
- ✗ B. Arguing loudly on social media: harmful
- ✗ D. Refusing to finish the job: escalates

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q2 · question page 2900

ENT.SVC.03 · Handle the complications: disputes over what was included

A deposit was taken but the scope never said whether it was refundable. What problem arises?

Answer: D. A dispute about returning it

State terms.

- ✗ A. The job is free: no
- ✗ B. No problem; deposits are always kept: not clear
- ✗ C. The deposit doubles: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q3 · question page 2901

ENT.SVC.03 · Handle the complications: disputes over what was included

Materials of 220 dollars must be bought before a job. The deposit is 150 dollars. How much must the owner front?

Answer: A. 70 dollars

220 - 150 = 70.

- ✗ B. 370 dollars: added
- ✗ C. 220 dollars: all
- ✗ D. 150 dollars: deposit

Arithmetic checked by code: yes. Sources: none (stable)

S138-F2-Q4 · question page 2902

ENT.SVC.03 · Handle the complications: disputes over what was included

A client adds small extras every visit. What is a fair approach?

Answer: B. Track extras and agree on how they are priced

Clarity.

✗ A. Refuse all requests: inflexible

✗ C. Ignore all extras forever: creep

✗ D. Raise all prices later without explanation: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S138-F2-Q5 · question page 2903

ENT.SVC.03 · Handle the complications: disputes over what was included

Which statement is accurate?

Answer: C. Clear scope and deposit terms prevent many disputes.

Write it down.

✗ A. Deposits never need terms.: they do

✗ B. A vague scope protects the business from disputes.: not true

✗ D. Extras should always be free.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q1 · question page 2905

ENT.SVC.04 · Build and schedule a base of repeat service clients

Why are recurring clients valuable?

Answer: D. Income is steadier and less marketing is needed

Steady income.

✗ A. They never need any reminders or attention at all: not true

✗ B. They pay twice as much automatically: no

✗ C. They replace the need for quality: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q2 · question page 2906

ENT.SVC.04 · Build and schedule a base of repeat service clients

Which habit helps keep regulars?

Answer: D. Booking the next visit before leaving

Book ahead.

- ✗ A. Changing their time every week randomly: unreliable
- ✗ B. Forgetting their preferences: poor service
- ✗ C. Waiting for clients to remember to call: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q3 · question page 2907

ENT.SVC.04 · Build and schedule a base of repeat service clients

A cleaner has 12 weekly clients at 90 dollars. What is weekly recurring revenue?

Answer: B. 1,080 dollars

12 x 90 = 1,080.

- ✗ A. 90 dollars: one
- ✗ C. 102 dollars: added
- ✗ D. 7.50 dollars: divided

Arithmetic checked by code: yes. Sources: none (stable)

S139-M-Q4 · question page 2908

ENT.SVC.04 · Build and schedule a base of repeat service clients

Why keep notes on each client?

Answer: C. To remember preferences and serve them well

Personal service.

- ✗ A. To raise prices secretly: no
- ✗ B. To share them publicly: privacy
- ✗ D. Because client notes are required by law: not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-M-Q5 · question page 2909

ENT.SVC.04 · Build and schedule a base of repeat service clients

What should be decided about holidays?

Answer: B. How regular visits move when a holiday falls on them

Plan exceptions.

- ✗ A. Cancel all clients for the month: drastic
- ✗ C. Only the owner's vacation photos: irrelevant
- ✗ D. Nothing, because holidays never affect service schedules: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q1 · question page 2910

ENT.SVC.04 · A newspaper delivery route

Why does the carrier know the income?

Answer: D. The same houses are served regularly

Recurring.

- ✗ A. Nobody pays: no
- ✗ B. Income changes randomly each week: no
- ✗ C. Papers are free: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q2 · question page 2911

ENT.SVC.04 · A newspaper delivery route

When does the carrier need new customers?

Answer: C. When someone moves away

Replacement only.

✗ A. Never: no

✗ B. Every single day, nonstop: no

✗ D. Only in summer: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q3 · question page 2912

ENT.SVC.04 · A newspaper delivery route

A route is like what for a service business?

Answer: B. A set of recurring clients

Regular base.

✗ A. A one-time job for a stranger: no

✗ C. A single ad: no

✗ D. A tax form: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q4 · question page 2913

ENT.SVC.04 · A newspaper delivery route

What makes the route work?

Answer: D. Reliability

Consistency.

✗ A. Late papers: no

✗ B. Changing days randomly: no

✗ C. Skipping houses: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-B1-Q5 · question page 2914

ENT.SVC.04 · A newspaper delivery route

Why is the route efficient?

Answer: D. The carrier can plan time and travel

Planning.

- ✗ A. It is random: no
- ✗ B. It changes daily without a plan: no
- ✗ C. It has no plan: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F1-Q1 · question page 2915

ENT.SVC.04 · Apply it: grow a recurring base

A lawn service has 20 monthly clients at 60 dollars and adds 5 more. What is the new monthly recurring revenue?

Answer: C. 1,500 dollars

25 x 60 = 1,500.

- ✗ A. 1,200 dollars: old
- ✗ B. 85 dollars: added
- ✗ D. 300 dollars: new only

Arithmetic checked by code: yes. Sources: none (stable)

S139-F1-Q2 · question page 2916

ENT.SVC.04 · Apply it: grow a recurring base

A tutor books the next session before each lesson ends. What is the main benefit?

Answer: A. Fewer gaps and more predictable income

Predictability.

- ✗ B. Clients never cancel: not guaranteed
- ✗ C. Lessons become free: no
- ✗ D. No need for any reminders ever again: still useful

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F1-Q3 · question page 2917

ENT.SVC.04 · Apply it: grow a recurring base

Weekly clients: 15 at 80 dollars. Two leave and three join. What is the new weekly revenue?

Answer: C. 1,280 dollars

16 x 80 = 1,280.

- ✗ A. 1,040 dollars: only leaves
- ✗ B. 1,200 dollars: old
- ✗ D. 1,360 dollars: only joins

Arithmetic checked by code: yes. Sources: none (stable)

S139-F1-Q4 · question page 2918

ENT.SVC.04 · Apply it: grow a recurring base

A regular prefers no strong cleaning scents. Where should this be kept?

Answer: A. In the client's notes

Client notes.

- ✗ B. Nowhere; memory is enough: unreliable
- ✗ C. On public social media: privacy
- ✗ D. In a random notebook: disorganized

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F1-Q5 · question page 2919

ENT.SVC.04 · Apply it: grow a recurring base

Regulars fill 30 of 35 weekly slots. How many slots remain for new clients?

Answer: B. 5

35 - 30 = 5.

✗ A. 30: filled

✗ C. 35: total

✗ D. 65: added

Arithmetic checked by code: yes. Sources: none (stable)

S139-F2-Q1 · question page 2920

ENT.SVC.04 · Handle the complications: dependence and holidays

One client is 40 percent of all revenue. What is the risk?

Answer: D. Losing that client would cut income sharply

Concentration.

✗ A. Revenue doubles: no

✗ B. No risk, because big clients never leave: they can

✗ C. Taxes vanish: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F2-Q2 · question page 2921

ENT.SVC.04 · Handle the complications: dependence and holidays

A holiday falls on Thursday, a regular's day. What is a good approach?

Answer: B. Offer a nearby day in advance

Communicate early.

✗ A. Skip without telling them: poor service

✗ C. Charge double for the week: unfair

✗ D. Cancel them permanently: drastic

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F2-Q3 · question page 2922

ENT.SVC.04 · Handle the complications: dependence and holidays

Regulars fill every slot and new inquiries keep coming. What could the owner consider?

Answer: C. A waitlist, a price increase or adding help

Manage demand.

- ✗ A. Lowering prices: worse
- ✗ B. Turning away all the regular clients: drastic
- ✗ D. Overbooking regular slots: harms quality

Arithmetic checked by code: not applicable. Sources: none (stable)

S139-F2-Q4 · question page 2923

ENT.SVC.04 · Handle the complications: dependence and holidays

Monthly churn of regulars is 5 percent of 40 clients. About how many leave each month?

Answer: A. 2

0.05 x 40 = 2.

- ✗ B. 20: half
- ✗ C. 5: percent as count
- ✗ D. 8: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S139-F2-Q5 · question page 2924

ENT.SVC.04 · Handle the complications: dependence and holidays

Which statement is accurate?

Answer: B. Recurring clients help, but avoid depending on one.

Balance.

- ✗ A. One big client is always safest.: risky
- ✗ C. Scheduling does not matter for regular clients at all.: it does
- ✗ D. Recurring clients never leave.: they can

Arithmetic checked by code: not applicable. Sources: none (stable)

S140-M-Q1 · question page 2926

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

According to the passage, what did the founders first rent out?

Answer: A. Air mattresses in their own apartment

Air mattresses.

- ✗ B. Office space downtown: not stated
- ✗ C. Cars to conference visitors: not stated
- ✗ D. A chain of hotels they had bought: not stated

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q2 · question page 2927

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

Why was there demand at that moment?

Answer: A. Hotels were booked during a design conference

Timing of demand.

- ✗ B. They advertised heavily on national television: not stated
- ✗ C. Rent was free that week: not stated
- ✗ D. A law required it: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q3 · question page 2928

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

What was the idea first called?

Answer: B. AirBed & Breakfast

Original name.

✗ A. RoomNow: not stated

✗ C. HotelShare Rooms: not stated

✗ D. CouchCity: not stated

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q4 · question page 2929

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

Which lesson does this course draw?

Answer: A. Test with what you have during clear demand

Low-cost test.

✗ B. Avoid moments of high demand: opposite

✗ C. Never use your own space: opposite

✗ D. Buy many properties first, before running any test: opposite

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-M-Q5 · question page 2930

ENT.CASE.10 · Apply a documented early decision: test a service with what you already have

Which statement about the Airbnb case is accurate?

Answer: C. It shows one test, not proof that every rental idea will work.

One story.

✗ A. It shows conferences always create businesses.: overstated

✗ B. It proves every rental idea will grow into a huge company.: one case

✗ D. It shows websites are unnecessary.: they built one

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q1 · question page 2931

ENT.CASE.10 · Selling umbrellas when it rains

Selling spare umbrellas you own is like what?

Answer: A. Testing with resources you already have

Low-cost test.

- ✗ B. Waiting for sunshine: no
- ✗ C. Buying a whole umbrella factory first: no
- ✗ D. Ignoring demand: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q2 · question page 2932

ENT.CASE.10 · Selling umbrellas when it rains

The rainstorm is like what in the case?

Answer: C. The booked-up conference week

Clear demand moment.

- ✗ A. A tax deadline: no
- ✗ B. A slow season with no visitors: no
- ✗ D. A holiday sale: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q3 · question page 2933

ENT.CASE.10 · Selling umbrellas when it rains

"They rented air mattresses in 2007" is which kind of statement?

Answer: A. Documented fact

Recorded.

- ✗ B. A guarantee: no
- ✗ C. Course explanation: documented
- ✗ D. A rumor: sourced

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q4 · question page 2934

ENT.CASE.10 · Selling umbrellas when it rains

The umbrella comparison is which kind?

Answer: A. The course's explanation

Interpretation.

- ✗ B. A law: no
- ✗ C. A documented fact from records: no
- ✗ D. A contract: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-B1-Q5 · question page 2935

ENT.CASE.10 · Selling umbrellas when it rains

Why test without buying a shop?

Answer: B. To learn about demand cheaply

Cheap learning.

- ✗ A. Shops are illegal: no
- ✗ C. Umbrellas are free to everyone: no
- ✗ D. Rain never stops: no

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q1 · question page 2936

ENT.CASE.10 · Apply it: design a low-cost service test

A town hosts a large marathon and hotels fill up. Ana has a spare room. Applying the lesson, what fits?

Answer: D. Offer the room to visitors that weekend as a test

Test with what you have.

- ✗ A. Ignore the event: missed test
- ✗ B. Buy three apartments before the race weekend: large investment
- ✗ C. Wait for next year without testing: missed

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q2 · question page 2937

ENT.CASE.10 · Apply it: design a low-cost service test

She charges 80 dollars a night for 3 nights and spends 30 dollars on cleaning supplies. What is her profit?

Answer: A. 210 dollars

3 x 80 - 30 = 210.

- ✗ B. 240 dollars: ignored costs
- ✗ C. 30 dollars: costs
- ✗ D. 110 dollars: one night

Arithmetic checked by code: yes. Sources: case_airbnb

S140-F1-Q3 · question page 2938

ENT.CASE.10 · Apply it: design a low-cost service test

Before renting, what should Ana check?

Answer: B. Local rules, her lease or HOA, and insurance

Rules apply.

- ✗ A. Nothing, because short rentals are always allowed: may be restricted
- ✗ C. Only competitors' photos: not enough
- ✗ D. Only the room's paint color: irrelevant

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q4 · question page 2939

ENT.CASE.10 · Apply it: design a low-cost service test

A dog owner sees many neighbors asking for pet sitting during a holiday week. Which test fits the lesson?

Answer: C. Pet-sit a few pets that week from home

Small test.

- ✗ A. Do nothing: missed
- ✗ B. Advertise nationally: too broad
- ✗ D. Lease a large kennel building first: large investment

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F1-Q5 · question page 2940

ENT.CASE.10 · Apply it: design a low-cost service test

Which detail from the case is documented?

Answer: D. The idea was first called AirBed & Breakfast

Recorded.

- ✗ A. Testing small always works: interpretation
- ✗ B. Every founder should rent out air mattresses: not documented
- ✗ C. Conferences guarantee success: not documented

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q1 · question page 2941

ENT.CASE.10 · Handle the complications: one busy week is not a market

Ana's room was full for the marathon weekend but empty for the next 6 weeks. What should she conclude?

Answer: C. One busy weekend does not prove steady demand

Keep testing.

- ✗ A. She should buy more property today: premature

✗ B. Rentals never work: not shown

✗ D. Demand is now guaranteed every week of the year: not shown

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q2 · question page 2942

ENT.CASE.10 · Handle the complications: one busy week is not a market

Someone says, "Airbnb used air mattresses, so I should too." What is wrong?

Answer: A. The lesson is a cheap test, not the mattress

Copy the principle.

✗ B. Nothing, because air mattresses are the secret: surface detail

✗ C. Mattresses are illegal: no

✗ D. Airbnb never used mattresses: it did

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q3 · question page 2943

ENT.CASE.10 · Handle the complications: one busy week is not a market

A guest damages property worth 150 dollars. What would have reduced the risk?

Answer: D. A deposit, clear rules and checking insurance

Plan for risk.

✗ A. Hiding the room's condition from guests: no

✗ B. Charging nothing: irrelevant

✗ C. No rules at all: risky

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S140-F2-Q4 · question page 2944

ENT.CASE.10 · Handle the complications: one busy week is not a market

Over 10 weekends, the room is booked 3. What is the occupancy rate?

Answer: A. 30 percent

3 / 10 = 0.3.

- ✗ B. 70 percent: empty
- ✗ C. 3 percent: count
- ✗ D. 10 percent: weekends

Arithmetic checked by code: yes. Sources: case_airbnb

S140-F2-Q5 · question page 2945

ENT.CASE.10 · Handle the complications: one busy week is not a market

Which statement is accurate?

Answer: C. Test cheaply, then confirm demand over time.

Test and confirm.

- ✗ A. One busy event proves a business will work.: not true
- ✗ B. Testing is unnecessary.: not true
- ✗ D. Every rental succeeds.: not true

Arithmetic checked by code: not applicable. Sources: case_airbnb

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S141-M-Q1 · question page 2947

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Why request samples before a big order?

Answer: B. To check quality before committing

Quality check.

- ✗ A. To avoid paying for anything: no
- ✗ C. To get free products forever: not the purpose
- ✗ D. Because samples replace contracts: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q2 · question page 2948

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

What should be asked about a supplier's defects?

Answer: D. Their policy for defective items

Defect policy.

- ✗ A. Nothing; defects never happen: they do
- ✗ B. Their favorite color: irrelevant
- ✗ C. Their office decor: irrelevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q3 · question page 2949

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Why start with a small order?

Answer: A. To test reliability before larger commitments

Test reliability.

- ✗ B. To confuse the supplier: no
- ✗ C. Large orders are illegal at first: no
- ✗ D. Small orders are always cheaper per item: often not

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q4 · question page 2950

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Why keep a backup supplier?

Answer: A. So a key item can still be sourced if the main one fails

Resilience.

✗ B. To avoid all contracts: no

✗ C. Because having one supplier is illegal for shops: no

✗ D. To pay twice for everything: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-M-Q5 · question page 2951

ENT.PROD.01 · Evaluate suppliers with samples, small orders and backups

Supplier A sells at 4.00 with 10 percent defects; B at 4.30 with 1 percent defects. Which is cheaper per good item?

Answer: A. B, about 4.34

A: 4.00 / 0.90 = 4.44; B: 4.30 / 0.99 = 4.34.

✗ B. They are equal: differ

✗ C. A, about 4.44: A is higher

✗ D. A, at 4.00 exactly: ignores defects

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q1 · question page 2952

ENT.PROD.01 · Cost per good item

10 percent defective means what share is good?

Answer: C. 90 percent

100 - 10 = 90.

✗ A. 100 percent: no

✗ B. 10 percent: defective

✗ D. 80 percent: miscalculated

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q2 · question page 2953

ENT.PROD.01 · Cost per good item

6 dollars each, 75 percent good. What is the cost per good item?

Answer: B. 8 dollars

6 / 0.75 = 8.

- ✗ A. 7.50 dollars: miscalculated
- ✗ C. 4.50 dollars: multiplied
- ✗ D. 6 dollars: listed

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q3 · question page 2954

ENT.PROD.01 · Cost per good item

5 dollars each, 80 percent good. What is the cost per good item?

Answer: A. 6.25 dollars

5 / 0.8 = 6.25.

- ✗ B. 5.00 dollars: listed
- ✗ C. 4.00 dollars: multiplied
- ✗ D. 5.80 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S141-B1-Q4 · question page 2955

ENT.PROD.01 · Cost per good item

Why divide by the good share?

Answer: B. Only good items can be sold, so they carry the cost

Spread cost over usable items.

- ✗ A. To make prices look lower: no
- ✗ C. It is a tax rule: no
- ✗ D. Because defective items are free to replace: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-B1-Q5 · question page 2956

ENT.PROD.01 · Cost per good item

Which is cheaper per good item: 3.00 at 60 percent good or 4.00 at 100 percent good?

Answer: D. 4.00 at 100 percent good

3 / 0.6 = 5.00 > 4.00.

- ✗ A. Cannot tell: can
- ✗ B. They are equal: differ
- ✗ C. 3.00 at 60 percent good: 5.00 per good

Arithmetic checked by code: yes. Sources: none (stable)

S141-F1-Q1 · question page 2957

ENT.PROD.01 · Apply it: choose and test a supplier

A candle maker gets samples from three jar suppliers. One sample cracked in shipping. What should she do?

Answer: C. Ask about packaging and test a small order first

Test more.

- ✗ A. Ignore the crack: risk
- ✗ B. Order 5,000 jars immediately to get the lowest price: risky
- ✗ D. Choose based only on price: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F1-Q2 · question page 2958

ENT.PROD.01 · Apply it: choose and test a supplier

Minimum order is 500 jars at 1.20 dollars. What is the minimum spend?

Answer: A. 600 dollars

500 x 1.20 = 600.

- ✗ B. 500 dollars: count
- ✗ C. 120 dollars: moved decimal
- ✗ D. 1.20 dollars: unit

Arithmetic checked by code: yes. Sources: none (stable)

S141-F1-Q3 · question page 2959

ENT.PROD.01 · Apply it: choose and test a supplier

A small first order of 50 arrives 10 days late and 6 are cracked. What fraction is defective?

Answer: A. 12 percent

6 / 50 = 0.12.

- ✗ B. 10 percent: days
- ✗ C. 50 percent: total
- ✗ D. 6 percent: count as percent

Arithmetic checked by code: yes. Sources: none (stable)

S141-F1-Q4 · question page 2960

ENT.PROD.01 · Apply it: choose and test a supplier

Which question matters most before relying on a supplier for a holiday rush?

Answer: C. Can you deliver this quantity by this date?

Capacity and timing.

- ✗ A. What music do you play in your office?: irrelevant
- ✗ B. Do you like my logo?: irrelevant
- ✗ D. How old is your website?: minor

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F1-Q5 · question page 2961

ENT.PROD.01 · Apply it: choose and test a supplier

A key supplier is reliable but the only source. What is the next step?

Answer: B. Find and test a backup supplier

Resilience.

- ✗ A. Do nothing; it will always be fine: risk
- ✗ C. Cancel the reliable supplier: unnecessary
- ✗ D. Stockpile a year of inventory regardless of cash: cash risk

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q1 · question page 2962

ENT.PROD.01 · Handle the complications: quality drift and price changes

A supplier's quality drops after 6 months. What should the owner do first?

Answer: D. Document the issue and raise it with the supplier

Communicate with evidence.

- ✗ A. Hide defects from customers: dishonest
- ✗ B. Say nothing and keep selling defects: harms customers
- ✗ C. Cancel all orders instantly without talking: drastic first

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q2 · question page 2963

ENT.PROD.01 · Handle the complications: quality drift and price changes

A supplier raises prices 15 percent from 8 dollars. What is the new price?

Answer: A. 9.20 dollars

8 x 1.15 = 9.20.

- ✗ B. 8.15 dollars: added 0.15
- ✗ C. 1.20 dollars: increase only

✗ D. 23 dollars: added 15

Arithmetic checked by code: yes. Sources: none (stable)

S141-F2-Q3 · question page 2964

ENT.PROD.01 · Handle the complications: quality drift and price changes

The cheapest supplier is often late, causing refunds. What is the real issue?

Answer: B. Low price can cost more through late orders

Total value.

✗ A. Refunds are free: they cost
✗ C. Customers never notice delays: they do
✗ D. There is no issue, because cheapest is always best: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q4 · question page 2965

ENT.PROD.01 · Handle the complications: quality drift and price changes

A sample was excellent, but production items differ. What lesson applies?

Answer: D. Check production quality, not just samples

Verify ongoing.

✗ A. Samples always match the production items exactly: not always
✗ B. Never order samples: useful
✗ C. Quality never changes: it can

Arithmetic checked by code: not applicable. Sources: none (stable)

S141-F2-Q5 · question page 2966

ENT.PROD.01 · Handle the complications: quality drift and price changes

Which statement is accurate?

Answer: A. Judge suppliers on quality, reliability and total cost.

Balanced evaluation.

- ✗ B. One supplier is always enough.: risky
- ✗ C. The lowest listed price is always the best value overall.: not always
- ✗ D. Samples guarantee every future order.: not guaranteed

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q1 · question page 2968

ENT.PROD.02 · Choose protective packaging and track damage rate

What does packaging do besides protect the item?

Answer: B. Shapes the customer's first impression

Impression.

- ✗ A. Removes shipping costs: no
- ✗ C. Replaces the product description: no
- ✗ D. Lowers all taxes owed: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q2 · question page 2969

ENT.PROD.02 · Choose protective packaging and track damage rate

Which is a good packaging test?

Answer: D. Ship a few packed items to yourself or a friend

Real-world test.

- ✗ A. Shake the empty box: not a test
- ✗ B. Ask a box supplier's opinion and nothing else: incomplete
- ✗ C. Never test; just ship: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q3 · question page 2970

ENT.PROD.02 · Choose protective packaging and track damage rate

What is damage rate?

Answer: C. Damaged orders divided by total orders

A ratio.

- ✗ A. The cost of one box: no
- ✗ B. The shipping speed: no
- ✗ D. Total orders minus refunds given: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-M-Q4 · question page 2971

ENT.PROD.02 · Choose protective packaging and track damage rate

8 of 400 orders arrive damaged. What is the damage rate?

Answer: B. 2 percent

8 / 400 = 0.02.

- ✗ A. 0.2 percent: moved decimal
- ✗ C. 8 percent: count
- ✗ D. 50 percent: misdivided

Arithmetic checked by code: yes. Sources: none (stable)

S142-M-Q5 · question page 2972

ENT.PROD.02 · Choose protective packaging and track damage rate

Which costs belong in packaging cost per item?

Answer: C. Box, filler, tape and labels

All materials.

- ✗ A. Only the owner's time on social media: unrelated
- ✗ B. Only the product: separate

✗ D. Only the box: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-B1-Q1 · question page 2973

ENT.PROD.02 · Damage rate and replacement cost

15 damaged of 500. What is the damage rate?

Answer: A. 3 percent

15 / 500 = 0.03.

✗ B. 33 percent: reversed
✗ C. 15 percent: count
✗ D. 0.3 percent: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q2 · question page 2974

ENT.PROD.02 · Damage rate and replacement cost

15 damaged at 20 dollars each. What is the damage cost?

Answer: D. 300 dollars

15 x 20 = 300.

✗ A. 0.75 dollars: divided
✗ B. 20 dollars: one
✗ C. 35 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q3 · question page 2975

ENT.PROD.02 · Damage rate and replacement cost

Better packaging costs 0.50 more on 500 orders. What is the extra cost?

Answer: C. 250 dollars

0.50 x 500 = 250.

- ✗ A. 500.50 dollars: added
- ✗ B. 1,000 dollars: doubled
- ✗ D. 0.50 dollars: one

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q4 · question page 2976

ENT.PROD.02 · Damage rate and replacement cost

If better packaging cuts damage cost from 300 to 40, what is the net saving after 250 extra?

Answer: A. 10 dollars

(300 - 40) - 250 = 10.

- ✗ B. 250 dollars: packaging
- ✗ C. 290 dollars: added
- ✗ D. 260 dollars: ignored packaging cost

Arithmetic checked by code: yes. Sources: none (stable)

S142-B1-Q5 · question page 2977

ENT.PROD.02 · Damage rate and replacement cost

Which number shows how often damage happens?

Answer: B. Damage rate

Frequency.

- ✗ A. Number of tape rolls: no
- ✗ C. Box price: no
- ✗ D. Shipping speed: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F1-Q1 · question page 2978

ENT.PROD.02 · Apply it: improve packaging decisions

A ceramic mug shop has 20 damaged of 400 orders. Replacing each costs 22 dollars. What does damage cost?

Answer: D. 440 dollars

20 x 22 = 440.

- ✗ A. 20 dollars: count
- ✗ B. 22 dollars: one
- ✗ C. 8,800 dollars: multiplied wrong

Arithmetic checked by code: yes. Sources: none (stable)

S142-F1-Q2 · question page 2979

ENT.PROD.02 · Apply it: improve packaging decisions

A mug shop ships 400 orders; replacing a damaged order costs 22 dollars. Double-boxing adds 0.80 dollars per order and cuts damage to 4 orders. What is the new total of packaging extra plus damage?

Answer: A. 408 dollars

400 x 0.80 + 4 x 22 = 320 + 88 = 408.

- ✗ B. 440 dollars: old damage
- ✗ C. 88 dollars: damage only
- ✗ D. 320 dollars: packaging only

Arithmetic checked by code: yes. Sources: none (stable)

S142-F1-Q3 · question page 2980

ENT.PROD.02 · Apply it: improve packaging decisions

Without double-boxing, damage costs 440 dollars; with it, packaging extra plus damage costs 408 dollars. Is double-boxing worth it on cost alone?

Answer: B. Yes, slightly: 408 is less than 440

408 < 440.

✗ A. No, it costs more: reversed

✗ C. It is exactly equal either way: no

✗ D. Cannot tell: can

Arithmetic checked by code: yes. Sources: none (stable)

S142-F1-Q4 · question page 2981

ENT.PROD.02 · Apply it: improve packaging decisions

Besides cost, what else does fewer damaged orders improve?

Answer: C. Customer experience and reviews

Reputation.

✗ A. Only the logo: irrelevant

✗ B. Nothing else at all improves: not true

✗ D. Taxes owed: not directly

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F1-Q5 · question page 2982

ENT.PROD.02 · Apply it: improve packaging decisions

A flat art print arrives bent in a soft envelope. Which change fits?

Answer: A. A stiff mailer with a backing board

Match packaging to item.

✗ B. Faster shipping only: still bends

✗ C. A bigger soft envelope with tape: still bends

✗ D. No packaging: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q1 · question page 2983

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Customers ask for less plastic. What should the owner check before switching?

Answer: B. That new materials still protect items, by testing

Test alternatives.

- ✗ A. Nothing, because any paper packaging works fine: may not protect
- ✗ C. Only the color of the paper: irrelevant
- ✗ D. Only competitors' choices: not enough

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q2 · question page 2984

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

A carrier crushed boxes several times. Besides packaging, what can help?

Answer: D. Filing claims and reviewing carrier options

Address the cause.

- ✗ A. Never shipping again: drastic
- ✗ B. Ignoring the pattern: continues
- ✗ C. Blaming customers for all of the damage: unfair

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q3 · question page 2985

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Packaging is 1.50 per order and the item contributes 6 dollars before packaging. What is contribution after packaging?

Answer: B. 4.50 dollars

6 - 1.50 = 4.50.

- ✗ A. 6.00 dollars: ignored
- ✗ C. 1.50 dollars: packaging
- ✗ D. 7.50 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S142-F2-Q4 · question page 2986

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Fancy packaging doubles cost but customers do not notice. What should the owner consider?

Answer: A. Whether the extra cost adds real value

Value for cost.

- ✗ B. Fancier is always better: not always
- ✗ C. Packaging cost never matters to profit: it does
- ✗ D. Remove all packaging: risky

Arithmetic checked by code: not applicable. Sources: none (stable)

S142-F2-Q5 · question page 2987

ENT.PROD.02 · Handle the complications: tradeoffs and sustainability

Which statement is accurate?

Answer: D. Good packaging balances protection and cost.

Balance.

- ✗ A. Testing packaging wastes time.: it helps
- ✗ B. The cheapest packaging is always best.: not always
- ✗ C. Damage rate does not matter.: it does

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q1 · question page 2989

ENT.PROD.03 · Run a clear fulfillment and returns process

What is fulfillment?

Answer: B. Everything from order to delivery

Order to door.

✗ A. Only the tax filing after a sale: no

✗ C. Only the product photo: no

✗ D. Only the marketing before an order: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q2 · question page 2990

ENT.PROD.03 · Run a clear fulfillment and returns process

What should a returns process state?

Answer: D. Request steps, time limit, condition, shipping and refund timing

Full terms.

✗ A. Nothing; returns are handled case by case, in secret, by the owner: unclear

✗ B. Only the owner's phone number: incomplete

✗ C. Only that returns are possible: vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q3 · question page 2991

ENT.PROD.03 · Run a clear fulfillment and returns process

Why track return reasons?

Answer: A. To fix the causes of returns

Improve.

✗ B. To argue with customers: no

✗ C. Because reasons never matter: they do

✗ D. To raise prices secretly: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q4 · question page 2992

ENT.PROD.03 · Run a clear fulfillment and returns process

What should happen to sellable returned items?

Answer: B. Inspect and restock them

Recover value.

- ✗ A. Sell them as new without checking: risky
- ✗ C. Throw them all away: waste
- ✗ D. Keep them forever unopened: waste

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-M-Q5 · question page 2993

ENT.PROD.03 · Run a clear fulfillment and returns process

"Ships in 2 business days" is what kind of promise?

Answer: D. A processing time

Handling time.

- ✗ A. A delivery guarantee from the carrier: different
- ✗ B. A refund policy: no
- ✗ C. A discount: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q1 · question page 2994

ENT.PROD.03 · A library's checkout and return desk

The checkout desk is like what?

Answer: C. Fulfillment

Getting orders out.

- ✗ A. Taxes: no
- ✗ B. The return desk: other desk
- ✗ D. Marketing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q2 · question page 2995

ENT.PROD.03 · A library's checkout and return desk

The return desk is like what?

Answer: B. The returns process

Handling returns.

- ✗ A. Hiring: no
- ✗ C. Fulfillment of orders: other desk
- ✗ D. Pricing: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q3 · question page 2996

ENT.PROD.03 · A library's checkout and return desk

What happens to returned books?

Answer: D. They are checked and reshelved

Inspect and restock.

- ✗ A. They are thrown away at once: no
- ✗ B. They are hidden: no
- ✗ C. They are sold: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q4 · question page 2997

ENT.PROD.03 · A library's checkout and return desk

Due dates are like what in returns?

Answer: A. The return time limit

Time limit.

✗ B. The product photo: no

✗ C. The price: no

✗ D. The shipping label: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-B1-Q5 · question page 2998

ENT.PROD.03 · A library's checkout and return desk

Why have clear rules at both desks?

Answer: B. So everyone knows what to expect

Clarity.

✗ A. To charge late fines to readers only: no

✗ C. To confuse readers: no

✗ D. Rules are decoration: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F1-Q1 · question page 2999

ENT.PROD.03 · Apply it: improve fulfillment and returns

A shop promises 2-day processing but ships in 5. What should it change?

Answer: C. Meet the promise or change it to a realistic time

Honest processing time.

✗ A. Keep the false promise: misleading

✗ B. Remove all shipping information from the site: unclear

✗ D. Blame the carrier always: not the cause

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F1-Q2 · question page 3000

ENT.PROD.03 · Apply it: improve fulfillment and returns

Of 60 returns, 36 say "too small." What percent cite size?

Answer: A. 60 percent

36 / 60 = 0.6.

- ✗ B. 36 percent: count
- ✗ C. 40 percent: others
- ✗ D. 24 percent: difference

Arithmetic checked by code: yes. Sources: none (stable)

S143-F1-Q3 · question page 3001

ENT.PROD.03 · Apply it: improve fulfillment and returns

What fix best addresses "too small" returns?

Answer: D. A clearer size chart with measurements

Fix the cause.

- ✗ A. Ignoring the reason: no change
- ✗ B. Removing the return option entirely: harms trust
- ✗ C. Charging for every return: not the cause

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F1-Q4 · question page 3002

ENT.PROD.03 · Apply it: improve fulfillment and returns

Returned items: 40, of which 30 are sellable at 25 dollars. What value is recovered?

Answer: C. 750 dollars

30 x 25 = 750.

- ✗ A. 25 dollars: one
- ✗ B. 250 dollars: 10 items
- ✗ D. 1,000 dollars: all 40

Arithmetic checked by code: yes. Sources: none (stable)

S143-F1-Q5 · question page 3003

ENT.PROD.03 · Apply it: improve fulfillment and returns

A customer asks where her order is. What step in fulfillment helps most?

Answer: C. Sending tracking when the order ships

Confirmations.

- ✗ A. Shipping without labels: impossible
- ✗ B. Hiding tracking numbers: opposite
- ✗ D. Waiting for her to ask a second time: slow

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q1 · question page 3004

ENT.PROD.03 · Handle the complications: peaks and abuse

Holiday orders triple and processing time slips. What should the shop do?

Answer: B. Update the stated processing time and add help

Adjust and communicate.

- ✗ A. Stop taking orders without notice: abrupt
- ✗ C. Keep the old promise and simply miss it: broken promise
- ✗ D. Ship incomplete orders: poor

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q2 · question page 3005

ENT.PROD.03 · Handle the complications: peaks and abuse

Some customers return items clearly used. What should the policy include?

Answer: B. A condition requirement such as "unused, with tags"

Clear condition.

✗ A. Public shaming: harmful

✗ C. No conditions at all: invites abuse

✗ D. A ban on all returns of any kind, for any reason: harms trust

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q3 · question page 3006

ENT.PROD.03 · Handle the complications: peaks and abuse

Return shipping costs the shop 7 dollars per return on 50 returns. What is the total?

Answer: D. 350 dollars

50 x 7 = 350.

✗ A. 3,500 dollars: extra zero

✗ B. 7 dollars: one

✗ C. 57 dollars: added

Arithmetic checked by code: yes. Sources: none (stable)

S143-F2-Q4 · question page 3007

ENT.PROD.03 · Handle the complications: peaks and abuse

Refunds take 4 weeks and customers complain. What is a better practice?

Answer: B. Refund promptly after inspection, within a stated time

Prompt refunds.

✗ A. Stop offering refunds secretly: deceptive

✗ C. Refund only if customers complain at least twice: unfair

✗ D. Take even longer: worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S143-F2-Q5 · question page 3008

ENT.PROD.03 · Handle the complications: peaks and abuse

Which statement is accurate?

Answer: A. Clear shipping and return rules build trust.

Systems help.

- ✗ B. Processing time promises can be ignored.: not true
- ✗ C. Return reasons are not useful.: they are
- ✗ D. Returned items are always worthless.: often sellable

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q1 · question page 3010

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What is wholesale?

Answer: C. Selling in bulk at a lower price to stores that resell

Bulk to resellers.

- ✗ A. Selling only at farmers markets: local retail
- ✗ B. Selling one item at full price online to a shopper: retail
- ✗ D. Giving items away for free: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q2 · question page 3011

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What does an online marketplace usually provide?

Answer: B. Access to buyers, with fees and rules

Reach with costs.

- ✗ A. Free sales with no rules: not true
- ✗ C. Guaranteed profits: no
- ✗ D. Full control of all customer data: not usually

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q3 · question page 3012

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What is a tradeoff of your own website?

Answer: D. More control, but you must bring visitors

Control versus reach.

- ✗ A. No costs of any kind: not true
- ✗ B. Visitors arrive automatically, with no work: not true
- ✗ C. No control at all: opposite

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-M-Q4 · question page 3013

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

A 40-dollar retail item sells wholesale at about half. What is the wholesale price?

Answer: B. 20 dollars

40 / 2 = 20.

- ✗ A. 10 dollars: quarter
- ✗ C. 40 dollars: retail
- ✗ D. 80 dollars: doubled

Arithmetic checked by code: yes. Sources: none (stable)

S144-M-Q5 · question page 3014

ENT.PROD.04 · Compare selling channels by fees, reach and contribution

What should be compared across channels?

Answer: C. Contribution per sale after channel costs

Money per sale.

✗ A. Only the logo on each channel: irrelevant

✗ B. Only the color scheme: irrelevant

✗ D. Only how popular each channel is with sellers: incomplete

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-B1-Q1 · question page 3015

ENT.PROD.04 · Contribution after channel fees

15 percent of 30 is what?

Answer: A. 4.50

0.15 x 30 = 4.50.

✗ B. 15: percent

✗ C. 34.50: added

✗ D. 0.45: moved decimal

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q2 · question page 3016

ENT.PROD.04 · Contribution after channel fees

Price 30, cost 12, fee 4.50. What is the contribution?

Answer: D. 13.50

30 - 12 - 4.50 = 13.50.

✗ A. 18.00: no fee

✗ B. 4.50: fee

✗ C. 25.50: no cost

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q3 · question page 3017

ENT.PROD.04 · Contribution after channel fees

Wholesale price 15, cost 12. What is the contribution per unit?

Answer: B. 3

15 - 12 = 3.

- ✗ A. 12: cost
- ✗ C. 15: price
- ✗ D. 27: added

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q4 · question page 3018

ENT.PROD.04 · Contribution after channel fees

200 wholesale units at 3 dollars contribution. What is the total?

Answer: D. 600

200 x 3 = 600.

- ✗ A. 66.67: divided
- ✗ B. 203: added
- ✗ C. 3: one

Arithmetic checked by code: yes. Sources: none (stable)

S144-B1-Q5 · question page 3019

ENT.PROD.04 · Contribution after channel fees

Price 25, cost 10, fee 20 percent. What is the contribution?

Answer: A. 10

25 - 10 - 5 = 10.

- ✗ B. 20: percent
- ✗ C. 5: fee
- ✗ D. 15: no fee

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q1 · question page 3020

ENT.PROD.04 · Apply it: compare channels for one product

A soap costs 3 dollars to make. Own site: price 10, fees 0.60. Marketplace: price 10, fees 1.80. What is the own-site contribution?

Answer: C. 6.40 dollars

10 - 3 - 0.60 = 6.40.

- ✗ A. 5.20 dollars: marketplace
- ✗ B. 10.00 dollars: price
- ✗ D. 7.00 dollars: no fees

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q2 · question page 3021

ENT.PROD.04 · Apply it: compare channels for one product

A soap costs 3 dollars and sells for 10 dollars. Fees are 0.60 dollars on the own site and 1.80 dollars on the marketplace. The own site sells 40 a month; the marketplace sells 150. Which brings more total contribution?

Answer: D. The marketplace, at 780 dollars

Own: 40 x 6.40 = 256; marketplace: 150 x 5.20 = 780.

- ✗ A. The own site, at 400 dollars: miscalculated
- ✗ B. They are equal: differ
- ✗ C. The own site, at 256 dollars: lower

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q3 · question page 3022

ENT.PROD.04 · Apply it: compare channels for one product

A soap costs 3 dollars to make. A shop wants 300 soaps wholesale at 5 dollars each. What is the total contribution?

Answer: A. 600 dollars

300 x (5 - 3) = 600.

- ✗ B. 1,500 dollars: revenue
- ✗ C. 2,100 dollars: added
- ✗ D. 900 dollars: cost

Arithmetic checked by code: yes. Sources: none (stable)

S144-F1-Q4 · question page 3023

ENT.PROD.04 · Apply it: compare channels for one product

Which is a risk of relying only on one marketplace?

Answer: A. A rule or fee change can hurt sales suddenly

Platform risk.

- ✗ B. Fees always fall: no
- ✗ C. No risk, because marketplaces never change rules: they do
- ✗ D. Sales are guaranteed forever: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F1-Q5 · question page 3024

ENT.PROD.04 · Apply it: compare channels for one product

A craft fair booth costs 80 dollars and she expects 40 sales at 7 dollars contribution each. What is the net?

Answer: B. 200 dollars

40 x 7 - 80 = 200.

- ✗ A. 360 dollars: added
- ✗ C. 80 dollars: booth
- ✗ D. 280 dollars: ignored booth

Arithmetic checked by code: yes. Sources: none (stable)

S144-F2-Q1 · question page 3025

ENT.PROD.04 · Handle the complications: channel conflict and capacity

A store buying wholesale asks the maker not to sell cheaper online. What should she consider?

Answer: C. Keeping prices consistent across channels

Channel consistency.

- ✗ A. Raising wholesale prices secretly: unfair
- ✗ B. Undercutting the store online anyway: harms partner
- ✗ D. Ignoring the request: damages relationship

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F2-Q2 · question page 3026

ENT.PROD.04 · Handle the complications: channel conflict and capacity

A large wholesale order would use all production for a month. What should she check?

Answer: B. Whether she can still serve her other channels

Capacity.

- ✗ A. Only the store's decor: irrelevant
- ✗ C. Only the logo: irrelevant
- ✗ D. Nothing, because bigger orders are always better: not always

Arithmetic checked by code: not applicable. Sources: none (stable)

S144-F2-Q3 · question page 3027

ENT.PROD.04 · Handle the complications: channel conflict and capacity

Marketplace fees rise from 12 to 18 percent on a 20-dollar item. How much more per sale in fees?

Answer: D. 1.20 dollars

0.06 x 20 = 1.20.